



Management Board Activity Report for Dino Polska S.A. and the Dino Polska S.A. Group in 2020



This document is an unofficial translation of the Activity Report of the Dino Polska S.A. and of the Dino Polska S.A. Group for 2020, which has been published in the xHTML format and signed by the Members of the Dino Polska S.A. Management Board using qualified electronic signatures.

Dino Polska Spółka Akcyjna

Joint stock company with its registered office in Krotoszyn at ul. Ostrowska 122, 63-700 Krotoszyn, entered in the register of businesses of the National Court Register under file number 0000408273.NIP no. 6211766191, REGON no. 300820828. The Company's share capital as at 31 December 2020 was PLN 9,804,000.00 and consisted of 98,040,000 shares with a nominal value of PLN 0.10 each ("Shares").

This document contains the Management Board Report for Dino Polska S.A. ("Dino Polska", "Company", "Parent Company") on the Activity of the Dino Polska S.A. Group ("Group", "Dino Polska Group") in 2020 and the Management Board Report on the Parent Company's Activity. The Group includes the parent company and subsidiaries over which Dino Polska exercises total control ("Subsidiaries"). Unless specified otherwise, the data in this Report comes from Dino Polska. This document was approved for publication on 11 March 2021 ("Report Date"). This document's date of publication is 12 March 2021.

Whenever the term Consolidated Financial Statements is used in this document, it means the Financial Statements for the year ended 31 December 2020 prepared in accordance with the International Financial Reporting Standards approved for use in the EU.

Whenever the term Company's Financial Statements is used in this document, it means the Financial Statements for the year ended 31 December 2020 prepared on the basis of the Accounting Act.

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1. LETTER FROM THE MANAGEMENT BOARD OF DINO POLSKA

Dear Investors, Employees and Shareholders,

I hereby convey to you Dino Polska's 2020 Annual Report. Just as in previous years, we focused on the geographic rollout of our network and continuing to enhance the attractiveness of the offering in Dino stores in the past year. As in every previous year, we set ambitious targets which we achieved thanks to the determination and commitment of our employees.

In 2020 we completed the investment process to launch 278 Dino stores, with 255 of them opened in 2020, and 23 in early 2021. At the end of 2020 our network numbered nearly 1,500 stores. That figure is more than 20% above the target we set for ourselves when we took the company public on the Warsaw Stock Exchange 4 years ago. At that time, we posited that we would enlarge our network from 628 stores at the end of 2016 to more than 1,200 stores at the end of 2020.

We consistently execute our well-crafted growth strategy by opening new Dino stores in more communities in Poland. In 2020, the Dino Group's capital expenditures surpassed PLN 1 billion. More than 5 thousand jobs were created as a result and the Dino Group's total headcount topped 25.8 thousand employees. In 2021 we plan to ramp up capital expenditures to PLN 1.2 billion.

We select sites for Dino stores so that our customers can do their shopping quickly and conveniently. We expend a lot of effort to offer a full range of the highest quality fresh products and an extensive array of other food products and staples. We introduced a lot of changes in our stores in 2020. We adapted to the changing environment quickly and efficiently and we extended our store hours to increase the convenience of shopping. Our stores are currently open from 6:00 a.m. to 11:00 p.m.

At the same time, we always endeavor to roll out other projects to mitigate climate change and curtail our environmental impact. Leveraging environmentally-friendly solutions has become one of our priorities. This is evidenced by our decision to install PV panels on our stores and distribution centers. As of today, we have 400 stores that use renewable energy sources. In a year that number should grow to roughly 800 stores and 3 distribution centers. These measures make our company a leader in terms of taking advantage of solar power in Poland.

Our well-thought through pricing and product assortment offering and the trust our customers place in us contribute to rising sales in Dino stores. Our topline sales growth on a like-for-like basis, i.e. in stores that operated in the prior year, too, was in the double digits once again and came in at 12.6% in 2020. This combined with our geographic expansion allowed us to grow our company's total revenue by 32.4% to more than PLN 10 billion. Further profit improvement accompanied this process.

Our substantial and steadily growing business size forms a solid foundation to continue making our offer more attractive and augment the accessibility of Dino stores in various regions around the country. In 2021 we will continue to pursue this growth strategy. The goal we have set for ourselves is for the pace of growth in our network to be no slower than in previous years. We are prepared to do that. In the past year we opened a new distribution center, our fifth one, in the community of Łobez in the western pomeranian region and we kicked off the construction of another two distribution centers in central and southern Poland. In parallel, we are resolute in our efforts to gain more trust from consumers whereby I believe that once again we will be able to deliver above-average topline growth measured on a like-for-like basis.

Respectfully,

Michał Krauze

Member of the Management Board of Dino Polska S.A.

2. FINANCIAL HIGHLIGHTS OF DINO POLSKA AND THE GROUP

Dino Polska SA Group

	PLN 000s		EUR 000s*	
	01.01.2020- 31.12.2020	01.01.2019- 31.12.2019	01.01.2020- 31.12.2020	01.01.2019- 31.12.2019
Sales revenue	10,125,815	7,646,547	2,263,157	1,777,523
Operating profit	837,859	561,909	187,265	130,622
Profit before tax	789,000	502,460	176,344	116,802
Net profit	643,917	410,907	143,918	95,520
Number of shares	98,040,000	98,040,000	98,040,000	98,040,000
Basic / diluted earnings per share in PLN, EUR	6.57	4.19	1.47	0.97
Cash flow from operating activities	819,922	799,044	183,256	185,746
Cash flow from investing activities	(1,000,136)	(827,807)	(223,534)	(192,433)
Cash flow from financing activities	265,912	154,563	59,432	35,930
Net change in cash and cash equivalents	85,698	125,800	19,154	29,244

* In the case of data in EUR, the average EUR/PLN exchange rate in the period was used, as published by the National Bank of Poland:

- NBP's average exchange rate in 2020: 4.4742 PLN/EUR
- NBP's average exchange rate in 2019: 4.3018 PLN/EUR

	PLN 000s		EUR 000s*	
	As at 31.12.2020	As at 31.12.2019	As at 31.12.2020	As at 31.12.2019
Total assets	5,570,510	4,350,750	1,207,097	1,021,663
Total non-current assets	4,053,812	3,215,763	878,437	755,140
Total current assets	1,516,698	1,134,987	328,660	266,523
Equity	2,266,563	1,622,353	491,151	380,968
Share capital	9,804	9,804	2,124	2,302
Non-current liabilities	1,223,256	860,217	265,072	202,000
Current liabilities	2,080,691	1,868,180	450,873	438,694

*In the case of data in EUR, the average EUR/PLN exchange rates in the period, as published by the National Bank of Poland, were used:

- NBP's average exchange rate as at 31 December 2020: 4.6148 PLN/EUR
- NBP's average exchange rate as at 31 December 2019: 4.2585 PLN/EUR

Dino Polska S.A.

	PLN 000s		EUR 000s *	
	01.01.2020- 31.12.2020	01.01.2019- 31.12.2019	01.01.2020- 31.12.2020	01.01.2019- 31.12.2019
Sales revenue	10,115,839	7,624,411	2,260,927	1,772,377
Operating profit	626,191	447,617	139,956	104,053
Profit before tax	578,460	392,759	129,288	91,301
Net profit	468,036	318,201	104,608	73,969
Number of shares	98,040,000	98,040,000	98,040,000	98,040,000
Basic / diluted earnings per share in PLN, EUR	4.77	3.25	1.07	0.75
Cash flow from operating activities	676,122	700,765	151,116	162,900
Cash flow from investing activities	(832,580)	(699,460)	(186,085)	(162,597)
Cash flow from financing activities	202,366	117,048	45,230	27,209
Net change in cash and cash equivalents	45,908	118,353	10,261	27,512

* In the case of data in EUR, the average EUR/PLN exchange rate in the period was used, as published by the National Bank of Poland:

- NBP's average exchange rate in 2020: 4.4742 PLN/EUR
- NBP's average exchange rate in 2019: 4.3018 PLN/EUR

	PLN 000s		EUR 000s *	
	as at 31 December 2020	as at 31 December 2019	as at 31 December 2020	as at 31 December 2019
Total assets	4,987,834	3,918,286	1,080,834	920,109
Total non-current assets	3,424,928	2,660,390	742,162	624,725
Total current assets	1,562,906	1,257,896	338,673	295,385
Equity	1,716,207	1,248,171	371,892	293,101
Share capital	9,804	9,804	2,124	2,302
Non-current liabilities	1,013,795	681,932	219,683	160,134
Current liabilities	2,166,999	1,922,179	469,576	451,375

*In the case of data in EUR, the average EUR/PLN exchange rates in the period, as published by the National Bank of Poland, were used:

- NBP's average exchange rate as at 31 December 2020: 4.6148 PLN/EUR
- NBP's average exchange rate as at 31 December 2019: 4.2585 PLN/EUR

3. OPERATIONS OF DINO POLSKA AND THE GROUP

3.1. Business profile

Dino is a nationwide network in Poland consisting of medium-sized grocery supermarkets located close to customers' places of residence. The Company is one of the fastest growing retail grocery networks in Poland measured by the number of stores and revenues.

Dino Polska's business model combines the advantages of the format provided to customers by medium-sized stores situated in convenient locations, in most cases close to their places of residence or featuring much more traffic, with the ability to open new stores quickly and an attractive product range, comprising primarily branded and fresh products at competitive prices.

As at 31 December 2020, the Dino network consisted of 1,473 stores with a total selling area of 573,489 square meters. Dino Polska has many years of experience and a proven capacity to open new stores, enabling it to grow its number of stores by 698, i.e. 90%, in the period of three years up to 31 December 2020. Its network expansion has been accompanied by significant like for like (LFL) revenue growth in its current store network, which in 2020 stood at 12.6% compared to 2019. Dino Polska continues to develop its network rapidly, consistently looking for sites for its new stores.

Dino Polska's operating strategy is based on a standard store design, equipped with parking places for its customers and supplied with fresh products every day of the week. Most stores have a sales floor area of approx. 400 square meters. Each store offers its customers approx. 5,000 stock keeping units (SKUs), for the most part well-known branded products and fresh products as well as a meat counter manned by store staff.

The Dino Polska Group's business model is scalable to a large extent. It comprises centralized management supported by suitable IT systems, a logistics network based on five distribution centers and the transportation network managed by Dino. Dino sources most products directly from producers or their main representatives. The large and constantly growing volumes of orders we place with suppliers accrue benefits in the form of economies of scale. They enable Dino to make purchases on favorable terms that should improve steadily as the sales network continues to expand. These drivers, combined with operational leverage and store network maturation, consistently enhance the Dino Polska Group's profitability.

3.2. Description of the Group

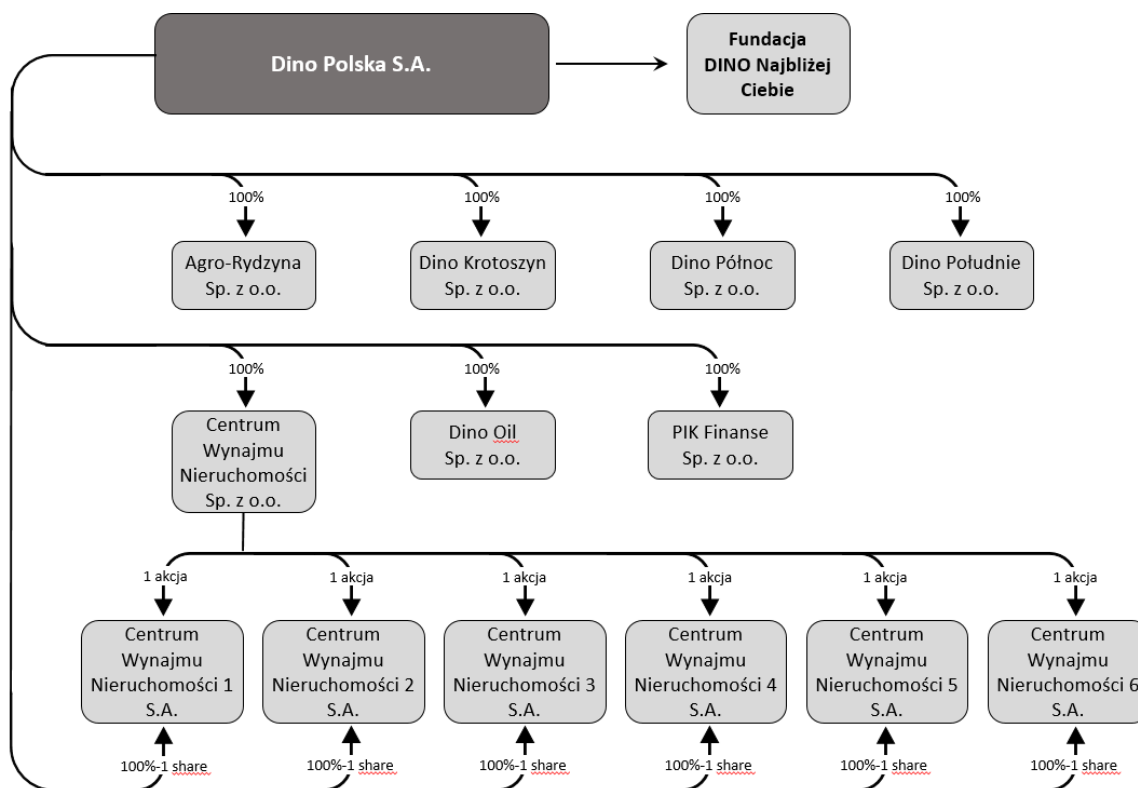
Dino Polska is the parent company of the Dino Polska Group. The company runs a business involving the management of the store network under the Dino brand. The Company manages, among others, the logistics of supply of products to the stores, sales, product range offered in the stores and supports other Subsidiaries (Real Estate Lease Centers) execution of investment processes related to securing new sites and opening the Company's new distribution centers. The Company also owns most of the real properties on which the stores are located and leases facilities in which the stores are located from third parties and other Group Companies that own the properties.

As at 31 December 2020 and 31 December 2019, the share Dino Polska and other Dino Polska Group entities have in their subsidiaries was equal to these entities' share of capital.

Agro-Rydzyna sp. z o.o. runs a meat processing plant that produces cold cuts and fresh meat. Dino Krotoszyn sp. z o.o. and Dino Południe sp. z o.o. own part of the warehouse space used by the Group and they render warehouse services in favor of the Group. Dino Oil sp. z o.o. renders shipping services. PIK Finanse Sp. z o.o. is an institution rendering insurance and financial services. Dino Północ sp. z o.o. did not conduct operating activity as at the end of 2020.

The chart below depicts the Dino Polska Group's structure

In 2020 there were no major changes to the structure of the Dino Polska Group or to how it is managed.



Neither Dino Polska nor any Subsidiary holds shares and interest in other entities than the ones specified on the chart above, nor does it have any financial instruments that may exert a material impact on their operations, the assessment of its assets and liabilities, financial standing and statement of profit or loss. Neither the Company nor any Subsidiary made any equity investments outside the Group in 2020. Dino Polska did not buy any treasury stock or shares in 2020 or in prior years. Dino Polska's main investments are linked to buying property, plant and equipment in connection with the expansion of Dino's store network. They are effected in the territory of Poland only and financed with own resources earned on operations and from external sources, such as interest-bearing bank loans, bonds and financial leases.

3.3. Operating activity in 2020

The Dino Polska Group's operations are conducted in Poland. The Group runs a modern network consisting of medium-size grocery supermarkets located close to clients' place of residence. As at 31 December 2020, the Dino network consisted of 1,473 stores with a total selling area of 573,489 square meters. In addition, at the end of 2020 the Company had 23 finished stores waiting to be opened: the process of opening them took longer due to the epidemiological situation.

The table below shows the Dino store count and the total selling area at the end of the year.

	As at 31 December									
	2020	2019	2018	2017	2016	2015	2014	2013	2012	2011
Total number of stores	1,473	1,218	977	775	628	511	410	324	234	154
Sales area (thousand square meters)	573	472	376	295	238	192	151	119	81	50

Products

The Dino Polska Group sells solely in Poland. Dino offers its clients roughly 5 thousand stock keeping units (SKUs) chiefly consisting of branded and fresh products. Fresh products accounted for more than 38% of sales revenue in 2020. Dino focuses on offering branded products at attractive prices. In 2020 branded products accounted for the vast majority of revenue (net of fresh products, including the products of the Agro-Rydzyna meat processing plant).

Product categories

The major product categories sold by the Company and the Dino Polska Group include the following: (i) fresh groceries, including the meat products supplied by Agro-Rydzyna; (ii) other groceries; and (iii) non-grocery products. These product categories represented 38%, 49% and 13%, respectively of revenue in 2020.

The table below shows the structure of sales revenues by product in individual periods.

	2020	2019	2018
Fresh food products	38	38	38
Other groceries	49	50	50
Non-grocery products	13	12	12

Fresh food products

In 2020 fresh products accounted for more than 38% of sales revenue in Dino Polska and the Dino Polska Group. In this category Dino's stores offer a wide array of products, including meat, poultry and cold cuts, fruit and vegetables, dairy products and bread. Fresh products are delivered to stores every day of the week.

Other groceries

Other groceries consists of a full range of groceries spanning the following in particular: children's food, breakfast products, ready to eat meals, beverages, candies, snacks, frozen goods, processed goods, oils, grain and bulk products, condiments and alcohol and cigarettes. For the most part, these are FMCG branded products with a high level of recognition. In 2020 they accounted for 49% of sales revenue in Dino Polska and the Dino Polska Group.

Non-grocery products

In 2020 non-grocery products accounted for 13% of sales revenue in Dino Polska and the Dino Polska Group. These products include, among others, flowers, cleaning agents, sanitary articles, pet food and small household appliance products.

Procurement of products

The Dino Polska Group has a diversified supplier base including above all producers and their main representatives. Dino Polska believes that on account of its size and the expansion of its operating activity it is one of the largest and fastest growing clients for many suppliers of grocery articles in Poland. Dino Polska has also adopted a policy of closely cooperating with the producers of brands with a lower of recognition, to give clients a less expensive alternative to the leading brands. Moreover, Dino stores offer, to a limited extent, private label products, which (with the exception of the Agro-Rydzyna products) accounted for 3.8% of sales revenue in 2020.

Suppliers

The Dino Polska Group collaborates with many suppliers from the FMCG industry. In 2020, the top 10 suppliers (excluding Agro-Rydzyna) accounted for nearly 16% of the Dino Polska Group's purchases, while the largest supplier from outside the Dino Polska Group accounted for less than 5% of the Dino Polska Group's purchases.

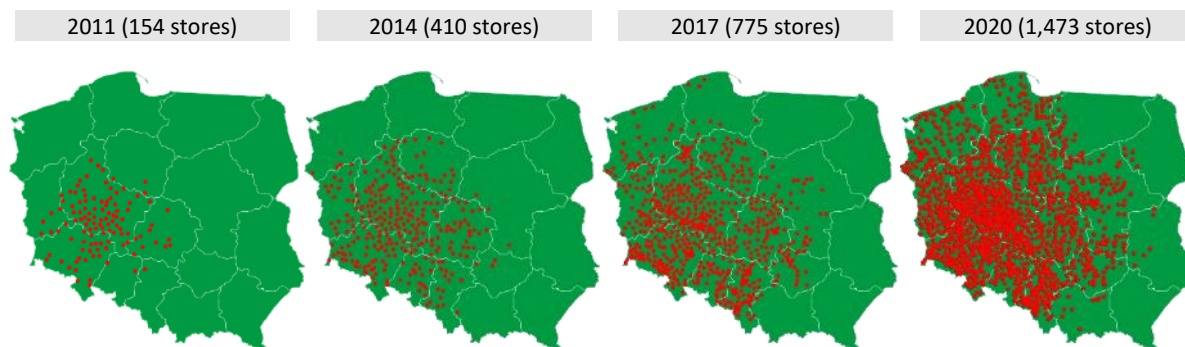
Agro-Rydzyna

Agro-Rydzyna is a producer and supplier of high-quality fresh pork meat to Dino stores and the primary supplier of cold cuts. Moreover, Agro-Rydzyna acts as a middleman in the purchase of poultry meat for the Dino stores from third party suppliers. The whole production of the meat processing plant operated by Agro-Rydzyna is sold through the Dino store network. In 2020 products supplied by Agro-Rydzyna generated more than 14% of sales revenue in Dino Polska and the Dino Polska Group.

Store network

As at 31 December 2020, the Dino store network consisted of 1,473 stores with a total selling area of 573,489 square meters. In 2020 Dino Polska opened 255 new stores compared to 243 stores opened in 2019. In addition, at the end of 2020 the Company had 23 stores ready and waiting to be opened.

The process of enlarging the Dino store network is depicted on the maps below.



Dino stores feature a homogenous format. The typical Dino store is a free-standing building open from 6:00 a.m. to 11:00 p.m. Most stores have a sales floor area of approx. 400 square meters and are located on plots with a parking lot for 10-30 vehicles. The store locations are diligently selected so that they are situated in sites with a large intensity of footfall or automobile traffic.

The table below shows information on the total number of stores in the Dino Polska Group and the total selling area in the Dino Polska Group's stores.

	As at 31 December		
	2020	2019	2018
Number of new store openings	255*	243	202
Total number of stores at the end of the period	1,473	1,218	977
Total selling area (m ²)	573,489	472,224	375,715
Growth of sales area y/y	21.4%	25.7%	27.3%

* - in addition, 23 stores were ready and waiting to be opened

Warehousing and distribution

The Dino store network is supported by an efficient warehousing and distribution system managed centrally from five distribution centers and by a network of independent transportation companies.

Distribution centers

The products offered in Dino stores are distributed by five distribution centers that are capable of making deliveries to a total of approx. 1,650-1,750 stores. In 2020 the Dino Group launched its fifth distribution center in Łobez in the western pomeranian region. The total amount of space in the distribution centers at the end of 2020 was 221.8 thousand square meters and was 29% higher than at the end of 2019.

The table below shows the area of Dino Polska's distribution centers as at 31 December 2020

	Warehouse space (thousand square meters)
Facility in Krotoszyn	50.6
Facility in Wolborz	42.3
Facility in Jastrowie	36.1
Facility in Rzeszotary	46.6
Facility in Łobez	46.2
Total	221.8

3.4. Growth strategy

The Dino Polska's strategy calls for continued growth by focusing on three key areas: (i) continuation of rapid organic growth in the number of stores, (ii) continued growth in LFL sales revenue in the current store network and (iii) consistent improvement in profitability. Dino Polska's intention is to execute its growth strategy by further utilization of the Dino Polska Group's strengths and its competitive advantages.

Continuation of rapid organic growth in the number of stores

Under the strategy crafted in 2016 the Dino Polska Management Board intended to increase the number of its stores from 557 at the end of June 2016 to more than 1,200 stores by the end of 2020. The Dino Group has consistently pursued this objective by opening 123 new stores in 2016, 147 in 2017, 202 in 2018, 243 in 2019 and 255 in 2020, thereby increasing the selling area by 24.4%, 23.8%, 27.3%, 25.7% and 21.4%, respectively.

As a result, this strategic target has been outperformed one year earlier than originally planned. The Company had 1,218 stores at the end of 2019 and 1,473 stores at the end of 2020. The Management Board of Dino Polska intends to maintain the high pace of growth of the selling area in Dino stores in subsequent years, too. Considering the relatively small share of the Dino network of roughly 3.5% in the value of the market, the Management Board of Dino Polska plans to continue to leverage the network's ability to grow organically in its current form by doing the following: (i) continuing to drive up its store density in its current areas of operation and (ii) steadily expanding in new regions, which ultimately should have a similar saturation of Dino stores to other regions.

In the opinion of the Company's Management Board, the attainment of this goal will be supported by the potential of the Polish market, still leveraged by the Company only to a small extent, extensive experience of Dino Polska's management in selection of attractive locations and uniform store format which supports fast opening of new stores.

In the next few years the Dino Group intends to make additional investments supporting new openings, including:

- (i) regularly secure sites for further development in existing and new regions;
- (ii) build further distribution centers, assuming that one center is able to service approx. 350 stores; and
- (iii) develop the production capacities of the meat processing plant operated by Agro-Rydzyna through its expansion and replacement of the production lines with new ones, and commissioning another meat processing plant in a new location, and open smaller meat separation plants on the premises of selected distribution centers.

Continued growth in LFL sales revenue in the current store network

Dino Polska anticipates that it will be able to continue growing LFL sales revenue in the current store network. For this purpose the Company will undertake efforts to increase the number of clients doing their shopping in Dino stores and the value of purchases per client.

Dino Polska is aware of the key trends contributing to a change in the lifestyle led by consumers and the customs concerning the purchases of groceries, also including the following:

- (i) looking for stores close to the place of residence and striving for convenience when making purchases;

- (ii) demanding high quality and branded products; and
- (iii) ever higher health awareness and greater interest in fresh and healthy food, including Polish products.

The model adopted by Dino Polska of having modern medium-sized supermarkets situated close to peoples' place of residence is aligned to the consumer trends described above. The Company expects that this will continue to translate into the ability to sustain a high growth rate of opening new stores and to sustain a high pace of sales growth in the current store network (LFL) compared to the overall market.

The Company intends to continue an active product range policy, providing for constant adaptation of the Dino stores' offering to customer expectations, which will evolve together with consumers' increasing disposable income.

The Dino Group's ability to utilize (i) direct access to reputable domestic and regional producers of branded products, (ii) its own Agro-Rydzyna meat processing plant and (iii) efficient logistics network to make daily deliveries of fresh products as needed enables the Dino Polska Group to derive benefit from these trends, which should support revenue growth in the current store network (LFL).

Consistent improvement in profitability

In past years the Dino Polska Group has generated long-lasting growth in its gross margin on sales and its EBITDA margin and it expects that it will be capable of improving its profitability by increasing the magnitude of its operations, the favorable nature of its business model and several strategic initiatives. They comprise:

- (i) benefits of scale leading to further gross margin growth due to the rapid store network expansion and the sales growth in the current store network, and consequently, the rapidly growing volume of purchased products, making it possible to enhance its commercial conditions;
- (ii) greater cost effectiveness at the individual store level thanks to the systematically conducted actions to cut the costs of running a store;
- (iii) operational leverage pushing up the EBITDA margin on account of relatively fixed costs rising more slowly than revenue;
- (iv) planned investments to optimize the logistics network by opening further distribution centers, thereby shortening the supply routes and this should make it possible to further improve the cost effectiveness of transport; and
- (v) continuing the Dino Polska's effective and savings-minded marketing policy.

Dino Polska anticipates that all these strategic initiatives and characteristic attributes of its business model will contribute to further improvement in the Company and Dino Polska Group's profitability.

3.5. Growth prospects in 2021

The objective of the Dino Polska Group is to continue the pursuit of the strategy aimed at developing its supermarket network through regular openings of new stores. The following trends and events will affect the Dino Polska and Group's business until the end of 2021:

- (i) macroeconomic situation in Poland, also accompanied by the minimum wage hike in Poland and the operation of social programs resulting in consumers' rising disposable income and spending on consumption;
- (ii) changing trends and habits among consumers (in particular an active lifestyle, less leisure time, higher frequency and shortened duration of shopping, attaching greater attention to the convenient location of stores) which lead to a stagnation of sales in hypermarkets and growth of sales in those market segments that enable less time-consuming purchases;
- (iii) changes in the regulatory environment: i) minimum wage hike, which on one hand translates into consumers' higher disposable income while on the other hand it also leads to higher employee expenses in the Dino Polska Group; ii) entry into force of the retail sales tax in Poland as of 2021;
- (iv) epidemiological situation; the Company monitors the epidemiological situation and its impact on its business on an ongoing basis. In 2020 the Company rolled out a rigorous sanitary regime in all of its areas of activity and smoothly adapted to the evolving sanitary requirements and restrictions imposed

on store networks. As a result, the Company was able to maintain business continuity and its operational efficiency in full in all of the areas of its activity. As at the date of this Report, all areas of the Company's operating activity are functioning efficiently and there are no significant reasons for revising the performance targets or plans set by the Management Board for 2021. However, one cannot rule out the possibility that the development of the epidemiological situation and the measures taken due to that and the restrictions imposed may affect the supply chain and how store networks conduct their operations, and may also contribute to demand volatility among consumers.

Due to uncertainty about future economic conditions, the Company's expectations and projections are subject to a high dose of uncertainty. Moreover, the following factors will have a significant impact on the development of the Company and the Group in the future:

- (i) Dino Polska's ability to open the number of stores assumed in the strategy and develop the related logistics functions comprising new distribution centers and increased transportation capacities, as well as increasing the production capacities in the meat processing plant operated by Agro-Rydzyna;
- (ii) improved efficiency of operations, benefits resulting from economies of scale and optimization of operating expenses, in particular in the face of rising labor costs;
- (iii) improved efficiency of logistics services provided to all stores;
- (iv) accessibility of funding sources;
- (v) competition from other retail sales networks;
- (vi) changing legal regulations and standards, including tax burdens on business operators;
- (vii) costs of operating retail trade business caused by the introduction of new provisions of consumer law, labor law, sanitary law and environmental law;
- (viii) unstable and uncertain situation on the labor market in various regions of the country;
- (ix) prices of fuel and other energy carriers, translating into operating expenses for the Group's companies, including costs of merchandise purchases.

4. ECONOMIC AND FINANCIAL STANDING

The objective of Dino Polska and the Dino Polska Group is to continue the pursuit of the strategy aimed at developing its supermarket network through regular openings of new stores. The Company expects to run a profitable business in the foreseeable future.

4.1. Recap of the Dino Polska Group's results

In 2020, the Dino Polska Group generated sales revenue of PLN 10,125.8 million, up 32.4% compared to the year before. The cumulative average growth rate (CAGR) of sales revenue for 2018-2020 was 31.4%.

The table below presents selected line items from the consolidated statement of profit or loss.

	For the year ended 31 December			Change
	2020	2019	2018	2020 / 2019
	<i>(audited*; thousands of PLN)</i>			<i>(%)</i>
Sales revenue	10,125,815	7,646,547	5,838,529	32.4
Cost of sales	(7,521,986)	(5,785,119)	(4,426,060)	30.0
Gross profit on sales	2,603,829	1,861,428	1,412,469	39.9
Other operating income	7,598	7,531	5,366	0.9
Sales and marketing expenses	(1,668,084)	(1,228,136)	(933,663)	35.8
General administration expenses	(99,783)	(74,498)	(52,635)	33.9
Other operating expenses	(5,701)	(4,416)	(2,535)	29.1
Operating profit	837,859	561,909	429,002	49.1
Financial income	3,237	938	347	245.1
Financial expenses	(52,096)	(60,387)	(45,371)	-13.7
Profit before tax	789,000	502,460	383,978	57.0
Income tax	(145,083)	(91,553)	(76,424)	58.5
Net profit	643,917	410,907	307,554	56.7

Source: Consolidated Financial Statements.

Sales revenue

Sales revenue rose PLN 2,479.3 million, or 32.4% to PLN 10,125.8 million in 2020 versus PLN 7,646.5 million in 2019. This growth was driven by sales revenue on goods and materials climbing by PLN 2,160.2 million, or 32.3% to PLN 8,856.7 million in 2020 versus PLN 6,696.4 million in 2019. Sales revenue climbed PLN 319.0 million, or 33.6% to PLN 1,269.1 million in 2020 from PLN 950.1 million in 2019. The increase in sales revenue was driven mainly by the higher magnitude of the Dino Polska Group's business, predominantly by the following: (i) growth in the store count by 20.9% and (ii) higher LFL sales in the current store network by 12.6%.

Cost of sales

In 2020, cost of sales represented 74.3% of sales revenue, whereas in 2019 it stood at 75.7% of sales revenue. Cost of sales increased by PLN 1,736.9 million, or 30.0%, from to PLN 7,522.0 million in 2020 from PLN 5,785.1 million in 2019, with a 32.4% increase in sales revenue. This growth was caused mainly by the Dino Polska Group's growing business size in connection with the expansion of the Dino store network and rising sales in existing stores (LFL).

Sales and marketing expenses

Sales and marketing expenses grew by PLN 439.9 million, i.e. 35.8% to PLN 1,668.1 million in 2020 compared to PLN 1,228.1 million in 2019. This growth was mainly driven by the Group's growing business size and the related expansion of the store network and rising LFL sales in its existing stores, thereby necessitating higher

costs associated with store upkeep, storage of merchandise and marketing. The growth rate of sales and marketing expenses was higher than the growth of sales revenue in 2020 mainly due to the relatively high growth rate of the costs of employee benefits.

General administration expenses

General administration expenses rose by PLN 25.3 million, or 33.9%, to PLN 99.8 million in 2020 as compared to PLN 74.5 million in 2019. The ratio of general administration expenses to sales revenue was 1.0% in 2020 and was at the same level as in 2019.

Costs by nature

The following table presents costs by nature.

	For the year ended 31 December			Change
	2020	2019	2018	2020 / 2019
	(audited; thousands of PLN)			(%)
Depreciation and amortization	198,146	163,517	112,058	21.2
Consumption of materials and energy	870,745	704,142	512,155	23.7
External services	333,870	305,862	238,042	9.2
Taxes and fees	50,226	38,096	30,207	31.8
Employee benefits	1,209,946	854,033	649,399	41.7
Other costs by nature	42,226	34,543	26,601	22.2
Cost of goods and materials sold	6,587,035	4,989,994	3,843,415	32.0
Total costs by nature, including:	9,292,194	7,090,187	5,411,877	31.1
Items captured in cost of sales	7,521,986	5,785,119	4,426,061	30.0
Items captured in sales and marketing expenses	1,668,084	1,228,136	933,663	35.8
Items captured in general administration expenses	99,783	74,498	52,635	33.9
Movement in products	2,341	2,434	(482)	-3.8

Source: Consolidated Financial Statements.

Total costs by nature rose PLN 2,202.0 million, or 31.1%, to PLN 9,292.2 million in 2020, compared to PLN 7,090.2 million in 2019, mainly as a result of higher: (i) costs of goods and materials sold (up PLN 1,597.0 million), (ii) costs of employee benefits (up PLN 355.9 million) and (iii) consumption of materials and energy (up PLN 166.6 million). This growth was caused mainly by the expansion of the Dino store network and rising sales in the current store network (LFL).

Employee benefits

The costs of employee benefits moved up PLN 355.9 million, or 41.7% to PLN 1,209.9 million in 2020 versus PLN 854.0 million in 2019. This growth resulted primarily from the higher number of Dino Polska Group employees from 20,630 as at 31 December 2019 to 25,840 as at 31 December 2020 in connection with the Dino Polska Group's expanding business size and the related expansion of the Dino store network as well as rising sales in the existing stores (LFL) and, to a lesser extent, from the higher average employee compensation in the Dino Polska Group.

Consumption of materials and energy

Consumption of materials and energy increased by PLN 166.6 million, or 23.7%, to PLN 870.7 million in 2020 versus PLN 704.1 million in 2019. This growth was mainly caused by the higher consumption of materials and energy and the related store network rollout and growing LFL sales.

External services

External services, which comprised in particular transportation services, lease and tenancy services, and maintenance services increased by PLN 28.0 million, or 9.2%, to PLN 333.9 million in 2020 compared to PLN 305.9 million in 2019. This growth was mainly caused by the Group's expanding size and the related store

network rollout and growing LFL sales. The improved effectiveness of transportation costs mainly due to fuel prices being lower in 2020 than in 2019 contributed to a slightly lower growth rate in the costs of external services than the growth rate in sales revenue.

Financial expenses

The Dino Polska Group's financial expenses dipped by PLN 8.3 million, or 13.7%, to PLN 52.1 million in 2020 compared to PLN 60.4 million in 2019. This decline ensued from lower interest on financial liabilities due to interest rate cuts in Poland.

Income tax

In 2020, the Dino Polska Group's income tax was PLN 145.1 million, as compared to PLN 91.6 million in 2019. The effective tax rate was 18.4% and 18.2% in 2020 and 2019, respectively, while the statutory corporate income tax (CIT) rate was 19%.

EBITDA result

In 2020 the Dino Group recorded an increase in the EBITDA result by PLN 310.6 million, or 42.8%, to PLN 1,036.0 million from PLN 725.4 million in 2019. The EBITDA margin in 2020 was 10.2% while in 2019 it was 9.5%. Operating profit (EBIT) in 2020 totaled PLN 837.9 million and was PLN 276.0 million (49.1%) higher than in 2019. The EBIT profit margin in 2020 was 8.3% versus 7.3% in 2019.

The following table presents the split of the EBITDA result.

	For the year ended 31 December			Change
	2020	2019	2018	2020 / 2019
	(PLN thousand)			(%)
Net profit	643,917	410,907	307,554	56.7
Income tax	145,083	91,553	76,424	58.5
Negative result on financing activity	48,859	59,449	45,024	-17.8
EBIT	837,859	561,909	429,002	49.1
EBIT margin	8.3%	7.3%	7.3%	
Depreciation and amortization	198,146	163,517	112,058	21.2
EBITDA	1,036,005	725,426	541,060	42.8
EBITDA margin	10.2%	9.5%	9.3%	

Source: Consolidated Financial Statements, own calculations.

4.2. Structure of the Group's assets and liabilities

Assets

The table below shows highlights on the Dino Polska Group's assets.

	As at 31 December			Change
	2020	2019	2018	2020 / 2019
	(audited; thousands of PLN)			(%)
Non-current assets				
Property, plant and equipment	3,749,480	2,846,818	2,347,025	31.7
Right-of-use assets	184,538	251,744	-	-26.7
Intangible assets	99,050	99,048	95,024	0.0
Other non-financial assets (non-current)	6	14	22	-56.8
Deferred tax assets	20,738	18,139	16,307	14.3
Total non-current assets	4,053,812	3,215,763	2,458,378	26.1
Current assets				
Inventories	875,147	623,995	445,357	40.2
Trade and other receivables	86,822	78,123	38,552	11.1
Income tax receivables	2	123	0	-98.4
Other non-financial assets	73,367	37,729	76,483	94.5
Cash and cash equivalents	480,418	394,720	268,920	21.7
Total current assets	1,516,698	1,134,987	829,312	33.6
Total assets	5,570,510	4,350,750	3,287,690	28.0

Source: Consolidated Financial Statements.

Total assets increased by PLN 1,219.8 million, i.e. 28.0%, from PLN 4,350.8 million as at 31 December 2019 to PLN 5,570.5 million as at 31 December 2020.

In 2018-2020, the main components of assets included: (i) property, plant and equipment (representing 71.4%, 65.4% and 67.3% of total assets as at 31 December 2018, 2019 and 2020, respectively); (ii) inventories (representing 13.5%, 14.3% and 15.7% of total assets as at 31 December 2018, 2019 and 2020, respectively); and (iii) cash and cash equivalents (representing 8.2%, 9.1% and 8.6% of total assets as at 31 December 2018, 2019 and 2020, respectively).

As at 31 December 2020 non-current assets accounted for 72.8% of total assets, or 1.1 percentage points less than in 2019, while current assets accounted for 27.2% of total assets, or 1.1 percentage points more than in 2019.

Non-current assets increased by PLN 838.0 million, or by 26.1% from PLN 3,215.8 million as at 31 December 2019 to PLN 4,053.8 million as at 31 December 2020. This increase was caused mainly by an increase in property, plant and equipment (by PLN 902.7 million, or 31.7%) which in turn was caused primarily by the growth of the Dino Group sales network (new stores) and an increased scale of business (launch or completion of construction of new Dino stores and distribution centers, capital expenditures for technical equipment and machinery, vehicles and other property, plant and equipment).

Current assets rose by PLN 381.7 million, or 33.6% from PLN 1,135.0 million as at 31 December 2019 to PLN 1,516.7 million as at 31 December 2020. This increase was caused mainly by the increase in: (i) inventories (by PLN 251.2 million, or 40.2%) driven by an increase in the scale of business of the Dino Polska Group and (ii) cash and cash equivalents (by PLN 85.7 million or 21.7%), due to the expanding scale of business.

Liabilities

The table below shows highlights on the Dino Polska Group's liabilities.

	As at 31 December			Change
	2020	2019	2018	2020 / 2019
	(audited; thousands of PLN)			(%)
Non-current liabilities				
Interest-bearing loans and borrowings	725,851	578,755	518,240	25.4
Lease liabilities (LT)	67,876	99,922	67,088	-32.1
Liabilities by virtue of outstanding securities (LT)	419,936	169,926	99,829	147.1
Other liabilities	180	210	240	-14.3
Provisions for employee benefits	2,844	1,830	1,550	55.4
Deferred tax liability	6,555	9,509	5,923	-31.1
Accruals and deferred revenue (LT)	14	65	306	-78.3
Total non-current liabilities	1,223,256	860,217	693,176	42.2
Current liabilities				
Trade and other payables	1,695,163	1,474,503	1,141,934	15.0
Current part of interest-bearing loans and borrowings	216,868	137,705	103,837	57.5
Lease liabilities (ST)	42,249	56,316	44,839	-25.0
Liabilities by virtue of outstanding securities (ST)	930	100,724	654	-99.1
Income tax liabilities	80,509	68,606	67,004	17.4
Accruals and deferred revenue (ST)	43,640	29,306	23,832	48.9
Provisions for employee benefits and other provisions	1,332	1,020	541	30.6
Total current liabilities	2,080,691	1,868,180	1,382,641	11.4
Total liabilities	3,303,947	2,728,397	2,075,817	21.1

Source: Consolidated Financial Statements.

In 2018-2020, the main components of liabilities were: (i) trade and other payables representing 55.0%, 54.0%, and 51.3% of liabilities as at 31 December 2018, 2019 and 2020, respectively; (ii) interest-bearing loans and borrowings (non-current part) representing 25.0%, 21.2% and 22.0% of liabilities as at 31 December 2018, 2019 and 2020, respectively; and (iii) long-term liabilities for outstanding bonds representing 4.8%, 6.2% and 12.7% of liabilities as at 31 December 2018, 2019 and 2020, respectively.

Total liabilities increased by PLN 575.6 million, or 21.1%, from PLN 2,728.4 million as at 31 December 2019 to PLN 3,303.9 million as at 31 December 2020.

Non-current liabilities

As at 31 December 2020 non-current liabilities accounted for 37.0% of total assets, up 5.5 p.p. from the year before.

Non-current liabilities increased by PLN 363.0 million, or 42.2%, from PLN 860.2 million as at 31 December 2019 to PLN 1,223.3 million as at 31 December 2020, predominantly as a result of i) higher liabilities under bonds issued (up PLN 250.0 million, or 147.1%) and ii) higher interest-bearing loans and borrowings (by PLN 147.1 million, or 25.4%). The additional loans taken out were used to finance the expansion of the Dino store network and expenditures related to the construction of distribution centers.

Current liabilities

As at 31 December 2020 current liabilities accounted for 63.0% of total liabilities.

Current liabilities increased by PLN 212.5 million, or 11.4%, from PLN 1,868.2 million as at 31 December 2019 to PLN 2,080.7 million as at 31 December 2020, predominantly as a result of an increase in trade and other liabilities (by PLN 220.7 million, or 15.0% in connection with an increase in the scale of business of the Dino Polska Group), which was partially offset by the decline in current liabilities for outstanding bonds (by PLN 99.8 million) – in connection with bond redemption.

Net debt

The Dino Group's net debt (Defined as interest-bearing loans and borrowings and liabilities under lease agreements + liabilities by virtue of outstanding securities minus cash and cash equivalents) stood at PLN 993.3 million as at 31 December 2020, signifying growth of PLN 244.7 million (32.7%) compared to 31 December 2019. The net debt to EBITDA ratio for 2020 was 0.96x as at 31 December 2020 and was lower than at the end of 2019 (1.03x).

Equity

The table below shows information on the Dino Polska Group's equity.

	As at 31 December			Change
	2020	2019	2018	2020 / 2019
	(audited; thousands of PLN)			(%)
Share capital	9,804	9,804	9,804	0.0
Supplementary capital	2,063,323	1,652,132	1,307,273	24.9
Retained earnings	185,937	(47,083)	(112,704)	-
Other equity	7,500	7,500	7,500	0.0
Total equity	2,266,564	1,622,353	1,211,873	39.7

Source: Consolidated Financial Statements.

As at 31 December 2020, total equity was PLN 2,266.6 million, up PLN 644.2 million, or 39.7% compared to PLN 1,622.4 million as at 31 December 2019.

Liquidity and financial resources

Dino Polska and the Dino Polska Group finance their liquidity and capital needs mainly through: (i) cash generated in its operating activities, (ii) loans (overdrafts and investment loans) and (iii) the issue of debt securities (bonds). The company intends to continue financing its growth using the aforementioned sources.

The principal capital needs of the Company and the Dino Polska Group are related to its operating activities, financing of capital expenditures (related in particular to further development of the Dino store network) and repayment of debt and trade and other payables. The financial strategy of the Dino Polska Group is to secure, to the greatest extent possible, financial resources and liquidity allowing it to repay its liabilities when they fall due, both in the normal course of business and in extraordinary circumstances, to protect the Dino Polska Group against the risk of losses or damage to its reputation. The capital expenditures required for further Dino store network roll-out are financed mainly from own funds on current operating activities.

As at 31 December 2020, the Group presented an excess of current liabilities over current assets, which is typical for the retail industry and its seasonality, where most of the sales are carried out in cash, inventories are minimized and suppliers offer deferred terms of payment. At the same time, the Company and the Group intensively develop its network using free cash and funding from bank loans and bond issues to increase the number of its operational stores. The covenants related to the loan agreements and outstanding bonds are monitored on an ongoing basis. As at the balance sheet date of 31 December 2020, there was no default on the terms and conditions of loan agreements and bonds and the Management Board of Dino Polska believes there is no risk that banks may terminate such agreements or bondholders request early redemption of the bonds within 12 months of the balance sheet date of 31 December 2020. As at the Report Date, no circumstances have been found that would indicate a threat for Dino Polska and other Group companies to continue as a going concern.

The Company believes that the level of working capital, the financing available to the Dino Polska Group and its ability to generate positive cash flows from operating activities are sufficient to cover its current needs and conduct its business for at least 12 months from the Report Date.

4.3. Group's Statement of cash flows

The following table presents basic information on the Dino Polska Group's cash flows.

For the year ended 31 December

Change

	2020	2019	2018	2020 / 2019
	(audited; thousands of PLN)			(%)
Net cash from operating activities, including:	819,922	799,044	643,297	2.6
<i>profit before tax</i>	789,000	502,460	383,978	57.0
<i>depreciation and amortization</i>	198,146	163,517	112,058	21.2
<i>movement in working capital</i>	(96,437)	153,273	124,985	-
<i>other</i>	(70,787)	(20,206)	22,276	250.3
Net cash from investing activities	(1,000,136)	(827,807)	(634,018)	20.8
Net cash from financing activities	265,912	154,563	82,298	72.0
Net increase in cash and cash equivalents	85,698	125,800	91,577	-
Cash at the beginning of the period	394,720	268,920	177,343	-
Cash at the end of the period	480,418	394,720	268,920	-

Source: Consolidated Financial Statements.

Net cash flows from operating activities

In 2020, the Dino Polska Group generated PLN 819.9 million of net cash from its operating activities, which was PLN 20.9 million more than in 2019. The increase in net cash from operating activities was driven mainly by the increased scale of the Dino Polska Group's business, which was partially offset by the negative shift in working capital.

Net cash flows from financing activities

In 2020 Dino Polska Group's cash flows from financing activities stood at PLN 265.9 million. Cash flows included mainly inflows from loans and borrowings (PLN 401.4 million) and inflows from bonds issued for PLN 250 million. Cash inflows were partly offset by cash expenditures (totaling PLN 385.4 million) which in 2020 comprised mainly: (i) repayment of loans and borrowings (PLN 175.1 million), (ii) redemption of outstanding bonds (PLN 100 million) and (iii) interest paid (PLN 52 million).

Net increase in cash and cash equivalents

As a result of positive net cash flows at the end of 2020, the balance of cash and cash equivalents in the Dino Polska Group increased by PLN 85.7 million compared to 2019.

4.4. Capital expenditures

In 2020 the cash flow on the Dino Polska Group's investing activity was negative and totaled PLN -1,000.1 million. The negative cash flows were caused mainly by the expenditures on the purchase of property, plant and equipment associated with the Dino store rollout and development of the logistics functions. All the expenditures were incurred in Poland and financed by the Dino Group from its own funds earned on operating activity, interest-bearing bank loans and outstanding bonds.

Capital expenditures in 2020 comprised mainly expenditures to expand the Dino store network and expenditures for logistics, including expenditures to build warehousing space and equipment in Łobez (distribution center opened in June 2020) and in Sierpc and Sieroniowice (launch slated for 2021), the purchase of refrigerated semi-trailers and purchase of equipment.

4.5. Off-balance sheet liabilities

As at 31 December 2020, the Dino Polska Group's off-balance sheet liabilities totaled PLN 750.4 million (PLN 457.0 million as at 31 December 2019). These liabilities ensue from executed preliminary agreements and pertain to the purchase of property, plant and equipment involving purchases related to the further expansion of the Dino store network and expansion of warehouse space as well as purchases related to store and warehouse fit-outs.

4.6. Recap of Dino Polska's results

Statement of profit or loss (selected line items)

	For the year ended 31 December		Change
	2020	2019	2020 / 2019
	(audited; thousands of PLN)		(%)
Net revenues on sales and equivalents	10,115,839	7,624,411	32.7%
Operating expenses	9,490,536	7,178,889	32.2%
Sales profit / (loss)	625,303	445,522	40.4%
Other operating income	6,374	6,283	1.4%
Other operating expenses	5,486	4,188	31.0%
Operating profit / (loss)	626,191	447,617	39.9%
Financial income	8,777	7,218	21.6%
Financial expenses	56,508	62,076	-9.0%
Gross profit / (loss)	578,460	392,759	47.3%
Income tax	110,424	74,558	48.1%
Net profit (loss)	468,036	318,201	47.1%

Source: Standalone Financial Statements.

In 2020 the Company generated revenue of PLN 10,115.8 million, or 32.7% more than in 2019. This increase is attributable to the growth of net revenue on sales of goods and materials conducted in the Dino store network, which, in turn, resulted from both a higher number of stores and higher yoy revenue in the existing stores. Operating expenses increased by 32.2% to PLN 9,490.5 million. This growth was caused mainly by Dino Polska's growing business size in connection with the expansion of the network and rising sales in the current store network (like-for-like). Net profit was PLN 468.0 million and was up 47.1% versus 2019. The increase in net profit results from growth in the scale of the Company's business and from the positive difference between the rate of growth in sales revenues and that in operating expenses. The 9.0% dip in financial expenses year on year to PLN 56.5 million is linked to the interest rate cut in Poland.

Balance sheet (selected line items)

	As at 31 December		Change
	2020	2019	2020 / 2019
	(audited; thousands of PLN)		(%)
Total non-current assets	3,424,928	2,660,390	28.7%
Intangible assets	24,630	26,024	-5.4%
Property, plant and equipment	2,597,950	1,848,345	40.6%
Non-current investments	755,831	755,835	0.0%
Non-current prepayments and accruals	46,517	30,186	54.1%
Total current assets	1,562,906	1,257,896	24.2%
Inventories	847,617	601,195	41.0%
Current receivables	142,519	100,447	41.9%
Current investments	569,586	554,276	2.8%
Current prepayments and accruals	3,184	1,978	61.0%
Total assets	4,987,834	3,918,286	27.3%
Equity	1,716,207	1,248,171	37.5%
Share capital	9,804	9,804	0.0%
Supplementary capital	1,208,019	889,818	35.8%
Net profit (loss)	468,036	318,201	47.1%
Liabilities and provisions for liabilities	3,271,627	2,670,115	22.5%
Provisions for liabilities	51,673	39,639	30.4%
Non-current liabilities	1,013,795	681,932	48.7%
Current liabilities	2,166,999	1,922,179	12.7%
Accruals and deferred revenue	39,160	26,365	48.5%
Total liabilities and equity	4,987,834	3,918,286	27.3%

Source: Standalone Financial Statements.

As at 31 December 2020, the Company's assets amounted to PLN 4,987.8 million and consisted of the following:

- non-current assets of PLN 3,424.9 million,
- current assets of PLN 1,562.9 million.

In 2020 and 2019, total assets consisted mainly of the following: property, plant and equipment (52.1% and 47.2%, respectively, of total assets), inventories (17.0% and 15.3% of total assets), long-term investments (15.2% and 19.3%, respectively, of total assets) and current investments (11.4% and 14.1%, respectively, of total assets).

Non-current assets rose by PLN 764.5 million, or 28.7%, in 2020. This growth was caused mainly by higher property, plant and equipment (by PLN 749.6 million or 40.6%) which, in turn, was caused primarily by the Dino Polska's network rollout (new Dino stores) and capital expenditures.

The largest current asset items are: (i) inventories (which represent 54.2% and 47.8% of current assets as at 31 December 2020 and 2019, respectively), (ii) current investments (36.4% and 44.1% of current assets as at 31 December 2020 and 2019, respectively).

Current assets rose by PLN 305.0 million, or 24.2%. This increase was caused mainly by the increase in inventories (by PLN 246.4 million or 41.0%), driven mainly by an increase in the size of Dino Polska's business.

As at 31 December 2020 equity was positive and totaled PLN 1,716.2 million.

Non-current liabilities rose by PLN 331.9 million, or 48.7%, while current liabilities increased by PLN 244.8 million and were 12.7% higher than the year before. The increase in current liabilities was driven mainly by growth in trade payables, which in turn was caused by the expanding size of business of the Dino store network.

Statement of cash flows

Dino Polska generated net cash from operating activities in 2020 and 2019 of PLN 676.1 million and PLN 700.8 million, respectively. The decrease in net cash from operating activities was triggered mainly by Dino Polska's higher inventories.

In 2020 the cash flow on Dino Polska's investing activity was negative and totaled PLN 832.6 million. The negative cash flows were caused mainly by the expenditures to purchase property, plant and equipment and intangible assets associated (PLN 870.4 million).

4.7. Dividend policy

Taking into account the rapid organic growth strategy regarding the Dino store count, the Company's Management Board does not plan to recommend payment of a dividend for 2020 to the Shareholder Meeting. The Management Board will propose to allocate the profit for the year to the Company's supplementary capital.

As at the Report Date, the Management Board has not made any decision whether to recommend a dividend payment to the Shareholder Meeting and its possible amount for subsequent years. Decisions in this respect will be made at the appropriate time after the end of each financial year.

However the dividend policy in the future will be revised by the Management Board as necessary depending on the circumstances, and decisions will be made taking into account a variety of factors relating to the Company, including business prospects, future profits, demand for cash, financial standing, indebtedness, expansion plans and legal requirements in this respect.

Historical data on dividend

The Company did not pay dividends for 2019 or for previous years.

4.8. Drivers of the operating and financial results

General drivers of the operating and financial result

Key drivers of the Company's and the Dino Polska Group's operating and financial results in 2019-2020 are discussed below. These factors may still impact the business activity, operating and financial results, financial standing, cash flows and growth prospects of the Dino Polska Group and present the trends which, in the Company's opinion, will apply to Poland's grocery retail market over the next few years.

The Dino Polska Group's operating and financial results are impacted primarily by: (i) the business environment in Poland and the trends and customs among consumers, (ii) the pace of opening new stores by the Dino Group and increase of revenue in the current store network (LFL), (iii) the purchasing power of Dino Polska and (iv) the level of debt and interest rates.

Business environment in Poland and trends and customs among consumers

The Dino Polska Group does business solely in Poland. Poland's macroeconomic conditions, driven by the economic environment in the region and the global economy, have significant importance for the activity of the Dino Polska Group. All changes in the macroeconomic conditions, such as GDP growth rate, unemployment rate, wages (including minimum wages), individual consumption, customer trust ratio or interest rates and inflation/deflation rates, impact the overall affluence of the society, consumers' purchasing power and propensity to spend money, thus shaping the customers' habits as regards disposal of income. The above factors also influence Dino Polska's product prices and the value of sales, and thus have a significant impact on the financial performance of Dino Polska and the Dino Polska Group.

The Polish economy is the eighth largest economy in the Europe. It is believed that Poland's economic growth, the pro-social programs introduced in previous years and the increase in minimum wages by 5% in 2018, 7.1%

in 2019, 15.6% in 2020 and 7.7% in 2021, have brought or will bring in the nearest future more affluence and higher consumption spending, which translates among others into a higher demand for Dino Polska's products.

Pace of opening new stores and growth in LFL sales revenue in the current store network

Dino Polska and the Dino Polska Group's financial performance is influenced by (i) the pace of opening new stores by the Dino Group and (ii) growth in LFL sales revenues in the current store network.

Opening new stores

As part of implementation of its growth strategy, the Dino Polska Group quickly expands its operations through growing its store network and increasing sales in the current store network (LFL). In 2018-2020, the Dino Polska Group increased the total number of stores by 698, from 775 as at 1 January 2018 to 1,473 as at 31 December 2020. The Company's strategy calls for ongoing rapid expansion of the store network in Poland.

The Company's strategy pertaining to opening new stores influenced the performance of Dino Polska and the Dino Polska Group, in particular through (i) faster growth of sales revenues than the cost of sales in connection with the purchase and sale of products in newly opened stores and increasing purchasing power of Dino Polska, (ii) increase of capital expenditures associated with the rollout of the network and the logistics base and (iii) reducing net debt to EBITDA despite the nominal increase in debt.

Sales in the current store network (LFL)

Sales revenues in Dino's current store network (LFL) depend on the sales volume and value, and customer preferences regarding the purchased products.

The following table presents a comparison of the inflation trends in Poland and top line LFL growth in Dino's current store network.

%	2020				2020	2019	2018
	Q4	Q3	Q2	Q1			
Inflation (deflation)	2.8	3.0	3.2	4.5	3.4	2.3	1.6
Food price inflation	1.7	3.2	6.4	7.7	4.7	4.9	2.6
Dino's LFL*	11.4	12.4	7.8	20.3	12.6	11.6	11.6

*stores are included in the calculation of the LFL ratio starting from the 13th full month of their existence
source: Central Statistical Office of Poland (GUS), Dino Polska

In 2020, the increase in LFL revenues was 12.6%, and was 1 percentage point higher than in 2019.

Purchasing power

Together with the enlargement of the scale of business, the purchasing power of Dino Polska also grew. In 2018-2020, the Company sourced most products directly from producers or their main representatives. The large volumes of orders placed with suppliers accrued benefits in the form of economies of scale. They enabled Dino Polska to make purchases on increasingly favorable terms. These factors improved the profitability of Dino Polska and the Dino Polska Group, which was manifested by a higher EBITDA margin.

Capital expenditures

Implementation of the Dino Polska Group's strategy of the Dino store network roll-out, its accompanying logistic infrastructure and expansion of production capacity of the Agro-Rydzyna meat processing plant requires significant capital expenditures. The Company plans to incur total capital expenditures in 2021 of roughly PLN 1.2 billion.

Debt and changes in interest rates

In 2018-2020, to finance store rollout, Dino Polska and the Dino Polska Group used external financing, mainly in the form of loans and bonds. As at 31 December 2020, interest-bearing loans and borrowings, bonds issued and lease liabilities of the Dino Polska Group totaled PLN 1,473.7 million, compared to PLN 1,143.3 million as at 31 December 2019.

In connection with the existing debt, the volatility of interest rates and other indicators have had and still may have an influence on the operations of Dino Polska and the Dino Polska Group. In 2018-2020, most of the financial debt (including loans, bonds and leases) bore interest based on WIBOR 1M or WIBOR 3M, as a result of which each change of the interest rates triggered movement in financial expenses. In connection with the interest rate cuts in the past few years, the growth in the Dino Polska Group's debt did not translate into higher financial expenses for the Dino Polska Group, which, in the year ended 31 December 2020 totaled PLN 52.1 million, compared to PLN 60.4 million in the year ended 31 December 2019.

4.9. Financial risk management

The main financial instruments used by Dino Polska and the Dino Polska Group include bank loans, finance leases, cash and short-term deposits. In addition, in 2017, Dino Polska established a bond issue program up to PLN 500 million under which, in October 2017, bonds with the nominal value of PLN 100 million were issued. In turn, in June 2019 bonds with a nominal value of PLN 170 million were issued and in September 2020 bonds with a nominal value of PLN 250 million were issued (while simultaneously redeeming the bonds issued for PLN 100 million in October 2017). The main objective of these financial instruments is to raise funding to grow the business of the Dino Polska Group.

According to the policy applied by the Dino Group in 2020, the Dino Polska Group did not trade in financial instruments. The Company does not hold, nor does it issue derivatives held for trading.

The main types of risk arising from the financial instruments of Dino Polska and the Dino Polska Group include interest rate risk, liquidity risk, FX risk and credit risk. The Management Board verifies and agrees the principles of managing each type of risk – these principles are discussed briefly below.

Interest rate risk

The exposure faced by Dino Polska and the Dino Polska Group to the risk of interest rate changes refers primarily to non-current financial liabilities. The Company does not hedge its investments and liabilities using derivative financial instruments. The sensitivity of profit (loss) before tax to interest rate changes is portrayed in note 35.1 *Interest rate risk* to the Dino Group's consolidated financial statements in 2020.

Credit risk

Transactions effected by Dino Polska and the Dino Polska Group are settled mainly in cash. Credit risk pertains to supplier support transactions related to distribution. Since distribution support services pertain to entities who are at the same time suppliers and buyers of Dino Polska and the Dino Polska Group, the credit risk is insignificant.

Liquidity risk

The Company and the Dino Group monitor the risk of having a shortage of funds using a periodic liquidity planning tool. The tool takes into account the maturities of both investments and financial assets (e.g. the amount of receivables, other financial assets) and projected cash flows from operating activities. The goal is to maintain balance between continuity and flexibility of financing by using various financing sources such as overdrafts, bank loans, other loans and bond issues.

4.10. Significant contracts, loans, borrowings, guarantees and sureties

Contracts significant for the business

On 23 June 2020 the Management Board of Dino Polska made the decision to commence the construction of the Company's two new distribution centers in the communities of Sierpc and Sieroniewice. For this purpose the

Company entered into a number of contracts with entities independent of the Company that specialize in the execution of such investments, including the entity that is playing the role of general contractor. These investments involve the comprehensive construction and fit-out of the freezer, refrigerated storage area, controlled-temperature warehouses, dry goods warehouse and social and office space with the accompanying technical infrastructure, internal roads and parking spots. The planned warehouse space of a single distribution center is 45 thousand square meters. The (net) estimated capital expenditures per distribution center are approximately PLN 80 million. They will be financed using the Company's own funds and bank loans. The purpose of the new distribution centers is to handle the deliveries of goods to the growing number of Dino stores and support the network's ongoing geographic expansion. The Company anticipates that the investments will be completed in 2021.

To the Company's best knowledge, there are no agreements that are significant for the issuer's operations concluded between the Company's shareholders.

Loans and borrowings

In 2020, the Company or its Subsidiaries entered into the following loan agreements.

Date of agreement	Company	Bank	Type of loan	Amount	Currency	Interest rate	Date of maturity
07-02-2020	Dino Polska	PKO BP SA	investment	150,000,000	PLN	WIBOR 3M + margin	06-11-2023
03-04-2020	Dino Polska	Bank Millennium SA	investment	41,420,000	PLN	WIBOR 3M + margin	02-04-2025
24-08-2020	Dino Polska	ING Bank Śląski SA	investment	50,000,000	PLN	WIBOR 3M + margin	23-08-2027
02-01-2020	CWN sp. z o.o.	PKO BP SA	investment	50,000,000	PLN	WIBOR 1M + margin	02-04-2023
05-06-2020	CWN 4 SA	PKO BP SA	investment	50,000,000	PLN	WIBOR 3M + margin	05-09-2023

Moreover, in 2020 Dino Polska received two loans for a total of PLN 7.5 million (with a 12-month maturity and bearing interest of 4%) from Subsidiaries and it extended the following loans to Subsidiaries.

Date	Company	Amount	Interest rate	Currency	Date of maturity
2020-01-02	Dino Południe	3,000,000	4%	PLN	12 months
2020-01-08	CWN 4	8,000,000	4%	PLN	12 months
2020-04-24	CWN 4	1,100,000	4%	PLN	12 months
2020-08-24	CWN 1	6,000,000	4%	PLN	12 months
2020-09-23	CWN 1	1,000,000	4%	PLN	12 months
2020-09-24	CWN 1	1,000,000	4%	PLN	12 months
2020-10-27	CWN 1	1,000,000	4%	PLN	12 months
2020-11-02	CWN 1	10,000,000	4%	PLN	12 months
2020-11-03	CWN	7,000,000	4%	PLN	12 months
2020-11-26	CWN 1	2,000,000	4%	PLN	12 months
2020-11-27	CWN 1	2,000,000	4%	PLN	12 months
2020-12-07	CWN 1	11,000,000	4%	PLN	12 months
2020-12-31	CWN	1,000,000	4%	PLN	12 months
2020-12-31	CWN 1	2,500,000	4%	PLN	12 months

Sureties and guarantees

In 2020 Dino Polska extended a civil law surety to Centrum Wynajmu Nieruchomości 4 S.A. – as collateral for repayment of liabilities under the loan granted by PKO BP SA – on 5 June 2020 for PLN 50 million and it extended a civil law surety to Centrum Wynajmu Nieruchomości spółka z o.o. – as collateral for repayment of liabilities under the loan granted by PKO BP SA – on 2 January 2020 for PLN 50 million.

There are sureties on agreements executed in previous years. In 2020 Dino Polska received ten guarantees (for quality, warranty and good performance) for a total of roughly PLN 36.3 million from entities conducting the Company's investment projects.

Guarantees issued or renewed by Dino Polska in 2020

Beneficiary	Amount	Currency	Opening date	Date of validity
PKO LEASING SA	992,731	PLN	09-07-2019	02-07-2021
Zott Polska Sp. z o.o.	4,000,000	PLN	23-03-2018	11-01-2022
Municipality-City of Grudziądz - City Road Authority in Grudziądz	355,322	PLN	24-11-2020	31-12-2021
PKO LEASING SA	300,483	PLN	21-11-2019	19-11-2021
LSM Housing Cooperative in Leszno	20,000	PLN	01-04-2020	01-04-2021
Municipality-City of Grudziądz - City Road Authority in Grudziądz	452,790	PLN	23-03-2020	31-05-2021
Pol-Dróg Drawsko Pomorskie S.A.	50,000	PLN	24-11-2020	15-11-2023

4.11. Other information

Due to the profile of the conducted activities, the Dino Polska Group has not adopted a research and development strategy and does not fund research and development activities. The Company does not publish financial forecasts.

5. RISKS AND THREATS

Described below are the risk factors and threats the materialization of which might have an adverse impact on the results and operations of the Company and the Dino Polska Group. As at the date of this Report, the Company's Management Board does not see any significant grounds that might indicate a significant likelihood of the occurrence of these risks, and the probability of their materialization in the foreseeable future is considered low.

The Company has exercised the highest degree of diligence in order to identify properly significant risks and threats; yet it cannot be claimed with absolute certainty that all risks have been identified and correctly recognized or that their impact on the business and performance of the Company and the Dino Polska Group has been accurately estimated. Some risks are described in the section "Dino – Closest to You. Corporate Social Responsibility Report of Dino Polska – Risks".

Risk associated with macroeconomic conditions

Changes to the general economic situation, which are beyond Dino Polska's control, may result in lower consumer demand, which may have an adverse impact on Dino Polska's business

The Dino Polska Group operates in the retail grocery market in Poland, whose position depends on the demand generated by consumers. The demand generated by consumers derives from multiple factors beyond Dino Polska's control, in particular the macroeconomic environment and political conditions. Change of the economic factors in Poland, in the EU or globally, including the change in the GDP growth rate, total inflation, deflation of food prices, increase of the unemployment rate, decline of salaries or decrease of expenditures on consumption and investments, may have adverse impact on the Dino Group or the sector in which the Group operates, including the sales revenues generated by the Dino Group or its costs.

Deterioration of the general economic situation in Poland and Europe as a result of the aforementioned economic factors or for political reasons or downgrading of Poland's rating, may have an adverse impact on the activities of the Dino Polska Group, its financial standing, results or prospects. The above factors may result in, among others, decline of demand for the Dino Polska Group's products, limited access to external financing, difficulties on the part of suppliers, customers and other entities with which the Dino Polska Group cooperates, which, in turn, may exert an adverse impact on the activities of the Dino Polska Group, its financial standing, results and prospects.

The Dino Group may be exposed to interest rate risk, which may adversely affect its floating-rate debt

The Dino Polska Group is exposed to risk of changes in interest rates. Changes in interest rates and other financial market parameters may affect the activity of the Company and the Group. Most of the Dino Polska Group's financial debt bears interest at a floating rate. As a result, any increase in interest rates may lead to higher current financial expenses, especially in connection with its rising debt. The Dino Polska Group does not hedge its investments or floating rate interest bearing liabilities by using financial derivatives. We cannot rule out that future changes in interest rates may have a negative impact on the Company and the Dino Group, which may adversely affect the activities, financial standing and results of the Dino Group.

Risks related to the achievement of strategic objectives

The Dino Polska Group may not be able to implement its store rollout strategy

Dino Polska's strategy calls for, among others, further growth through continuation of fast organic growth of the store network and the accompanying logistic infrastructure. Successful implementation of the growth strategy depends, among others, on the economic conditions, access to external financing, absence of unfavorable changes in the regulatory environment, finding and acquisition (or to a lesser extent, lease or rental) of real estate on acceptable terms which satisfy the requirements set by Dino Polska, efficient construction and launch of new stores, employment, training and retention of store personnel, and integration of the new stores with the supply chain in a manner ensuring high profitability.

To date the Dino Polska Group was able to finance its capital needs primarily from operating cash flows, bank loans and bonds. If the operating cash flows drop below the assumed levels or new financing is not available, Dino Polska may not be able to implement its development plans, which may have adverse impact on the activities, financial standing and results of the Group and its prospects.

Even if Dino Polska manages to open new stores in line with the adopted strategy, the newly opened stores may not break even within the originally assumed timelines or at all, or the increase in sales revenues or sales revenue in the current store network (LFL) may turn out lower than assumed by the Management Board, and Dino Polska may be exposed to incurring additional, unexpected costs associated with opening new stores. In addition, the analysis carried out by the Company before opening a given store may turn out incorrect among others due to lower-than-expected customer traffic in the vicinity of the store or unexpected circumstances. Additionally, if Dino Polska opens new stores in areas where it already conducts activities, it is possible that the revenues generated by the stores opened in the area earlier will drop.

The occurrence of these circumstances may exert an adverse impact on the Company and the Dino Polska Group's business, financial standing, performance and prospects.

Possible delays in opening new stores

Most Dino Polska stores were built from the ground up by an entity related to the Company. The process of building and opening new stores hinges on securing approvals from various administrative authorities. It cannot be ruled out that in the future the time needed to obtain the administrative permits may be extended. If Dino Polska will not be able to finalize the administrative proceedings as efficiently as in the past, it is possible that there will be delays which affect the whole new store launch process in the future.

Also the average construction cost of a new store may increase, e.g. in the event of an increase in the prices of construction labor or materials or a change in the applicable construction standards.

Dino Polska's cooperation with a single general contractor responsible for new stores entails the risk that if the contractor for any reason is unable to perform the construction services to the Company or only to a limited extent or its services are not of the same quality in the future, or the contractor demands termination of the contracts or a change in the commercial terms of its services to Dino Polska's disadvantage, Dino Polska may be forced to alter the schedules for building and opening new stores, find a different contractor or contractors or accept the new unfavorable commercial terms of the contracts with contractors, which may have an adverse impact on the activities of Dino Polska, its financial standing, results or prospects.

Owning a significant number of properties may curtail in the future the flexibility to close unprofitable stores, while a decline in real estate prices may put Dino Polska in jeopardy of incurring significant losses

The Dino Polska Group is the owner of most of the real estate in which it operates. That means that any drop in the market value of the real estate portfolio may exert an unfavorable impact on the asset value of the Company and the Dino Polska Group as well as on the results generated by the Company or its subsidiaries.

One cannot preclude that if a store built on a piece of real estate owned by the Dino Polska Group fails to generate performance at the originally intended level and if as a result the decision is made to close such a store, the Dino Group may not be able to sell or lease the real estate in which the closed store was located at all or on commercially viable terms. Due to the above, the Dino Group may generate an inferior return on invested capital, it may generate lower profits or incur losses, or it may also be obligated to incur additional expenses, which may adversely affect the operations of the Company and the Dino Group, their financial standing, performance or prospects.

Competition-related risks

The market on which the Dino Polska Group conducts operations is characterized by high competition, and the pressure from the competitors may have adverse impact on the margins or growth prospects

The market on which the Dino Polska Group conducts operations is characterized by high competition due to the presence and constant growth of big organized retail networks, including supermarkets, discount stores and convenience stores. Changing consumer preferences towards shopping in stores located near the place of

residence and increasing consumer demand spur many players to develop a network of medium-sized grocery stores located near the consumers' place of residence, which increases the competition in the market segment where the Dino Polska Group operates.

Players conducting competitive activity may have higher purchasing power and financial, distribution, technical, personal or marketing resources, giving them competitive advantages over the Dino Polska Group. Retail grocery networks compete mainly in terms of location, prices and quality of the products and services and diversity of the product assortment. Dino Polska's ability to compete with other players depends partly on the maintaining the attractiveness of the store format and opening new stores in favorable locations, which is the area where the Company may face greater competition.

The demanding competitive environment may cause the Dino Polska Group's pace of growth to slacken and reduce its profitability, which may have an adverse effect on the operations of the Company and the Dino Polska Group, their financial standing and results.

The retail grocery market in Poland is fragmented, and a large number of retail sellers have a relatively small market share. Mergers and acquisitions in this market lead to consolidation of the sector. In the case of consolidation of the Dino Polska Group's competitors which will allow them to leverage the economies of scale in their operations, there may a stagnation or loss of the Dino Polska Group's shares in the market in favor of entities participating in such consolidation. Increased competition from bigger competitors who have stronger bargaining power with suppliers and higher financial resources may also lead to decrease and stagnation of the Dino Polska Group's growth rate or decrease of its profitability, which may have adverse impact on the activities, financial standing and results of the Company and the Dino Polska Group.

Risks factors related to the activity of the Group

The demanding situation on the labor market may unfavorably affect the Dino Polska Group's operations

One of the key factors driving the Dino Group's business development in the future, especially its ongoing growth, geographic expansion and the execution of its strategy is having the appropriate number of qualified and committed employees. The low level of unemployment in Poland, which is accompanied by a high level of competition for employees between entities operating in the retail trade sector, may contribute to the Dino Group sustaining higher employee attrition and troubles with attracting new employees. Moreover, the aforementioned factors may exert more pressure on raising the costs of wages. There are also risks related to the dependence of the Dino Group on persons acting in key functions. The loss of managers or employees discharging key functions may affect further growth prospects, lead to the loss of know-how or, in certain circumstances, the acquisition of know-how by the competition. The occurrence of these circumstances may exert an adverse impact on the Company and the Dino Group's business, their financial standing, performance or prospects.

The Dino Polska Group's IT systems may fail, may turn out insufficiently secure or insufficient to satisfy the needs of the Dino Polska Group

The Dino Polska Group manages its stores, including the sales process, inventories, logistic operations, and financial instruments and accounting instruments through different solutions provided by the information technology. Hence it is key to ensure a correct maintenance process for the existing IT systems, their security, including the data constituting trade secret or personal data, and deploy optimum solutions at the right time which will ensure stable and uninterrupted operation of these systems. The inability to procure the effective operation of IT systems may pose a threat to the Dino Polska Group's capacity to manage the store network roll-out, including provision of inventories management services or product supply services for the stores, which may result in disruptions in their ongoing activities.

The Dino Polska Group's operating systems may be susceptible to damages and disruptions as a result of actions associated with cybercrime, human error, natural disasters, power cuts, computer viruses, refusal to provide services, breach of security principles, limitation of access to the internet or similar events. In addition, attempts may be made to obtain access to the Dino Polska Group's systems to its detriment and the Dino Polska Group may not have the possibility to protect its systems against all attacks. If such attacks occur, the problems that the Dino Polska Group will have to face include theft or destruction of data, in particular commercial, financial and

product information, which may be harmful to the Dino Polska Group in commercial terms and may result in loss of reputation.

System failures and the related delays may also cause unexpected sales disruptions, loss of inventories, reduced level of services and, as a consequence, affect customer satisfaction and harm Dino Polska's reputation.

The aforementioned circumstances may have material negative impact on the activities, financial standing and results of the Company and the Dino Polska Group.

Change of the terms of purchase of the goods offered by Dino Polska may have a material adverse impact on the activity of the Dino Polska Group

Dino Polska sources most goods directly from producers or their main representatives. The large and constantly growing volumes of orders placed with suppliers accrue benefits in the form of economies of scale. They enable Dino Polska to make purchases on favorable terms that may should improve steadily as the sales network expands. The loss of good relations with numerous suppliers, termination of supply agreements or change of the commercial terms on which goods are supplied to Dino Polska to less favorable ones could reduce the competitiveness of the Company and the Dino Polska Group in terms of the prices offered and the product assortment and have an adverse impact on the profitability of the Company and the Dino Polska Group.

The prices of the goods purchased by Dino Polska and then offered to clients, in particular fresh products, are subject to regular changes and are the biggest part of the cost of sales. The prices of the goods may increase significantly as a result of local or global events beyond the control of Dino Polska.

Although Dino Polska has a diverse supplier base, one cannot rule out that some suppliers, as a result of higher production costs or to increase their profits, will decide to increase the prices of the goods sold to Dino Polska. Dino Polska, in turn, may try to cover these higher purchase prices with higher prices for the products sold to maintain the margin of its gross profit on sales. However, it may prove to be impossible for Dino Polska to raise retail prices on account of competitive or business conditions, which may have a significant adverse effect on the operations, financial standing and results of the Company and the Dino Polska Group.

Distribution of products to Dino Polska stores may be disrupted

The products offered in the stores run by Dino Polska are currently supplied by five distribution centers belonging to the Dino Polska Group. Any interruptions in the activity of the distribution centers may result in disruption of the operation of the supply chain or may cause significant losses. In the event of disruption to one or more of the distribution centers, inter alia as a result of technical crashes, events of chance or events largely outside the control of the Dino Polska Group, it is possible that the operation of the supply chain may experience a major disruption, in particular, the lack of deliveries of fresh products, and also the incurring of major losses. There is a risk that the Company will be not able to resume or restart its operations due to the aforementioned circumstances sufficiently quickly, and its insurance cover may be insufficient to cover the losses suffered in terms of its assets or revenue. The occurrence of the above events may have a negative impact on the activities of the Company and the Dino Polska Group, their financial standing, results and prospects.

Dino Polska Group may not be able to efficiently manage its inventories

Dino Polska conducts retail sales and accordingly it must secure frequent deliveries of products to its store network. Accordingly, Dino Polska is required to maintain a certain level of inventories at its distribution centers in order to effectively secure the supply of products to the entire store network without significant delays.

Dino Polska maintains inventories for the purposes of deliveries to its stores based on the experience of its relevant supply teams that have a broad range of IT solutions at their disposal. However, Dino Polska cannot rule out a possibility that, a result of an incorrect assessment, a failure of an IT system, a sudden change in consumer preferences or other factors beyond the control of Dino Polska, the level of deliveries will be insufficient or excessive and Dino Polska will not be able to sell its surplus inventories. Consequently, Dino Polska may not be able to secure sufficient quantities of the products that are offered in stores or, in case of surplus inventories, to sell its products, which may adversely affect Dino Polska's revenue or increase the level of its losses, which may in turn have an adverse effect on the activities, financial standing and results of the Company and the Dino Polska Group.

Ineffective identification and failure to satisfy consumer preferences may have a negative effect on the activities of Dino Polska

Consumer demand for stores in the format adopted by Dino Polska and offering a similar product range results from consumer trends, consumer needs and preferences. Consumer preferences on the market and in the geographical area where Dino Polska operates or intends to operate may change and the store format adopted by Dino Polska or the offered products will no longer be attractive to consumers, for example as a result of changes in lifestyles and dietary preferences or as a result of national or local economic conditions. Customers can make most of their purchases on the Internet, which is a sales channel not currently used by Dino Polska. Changes in customer preferences may adversely affect traffic and purchases in Dino stores. If Dino Polska fails to identify and adapt to changes in consumer preferences quickly and efficiently, which includes Internet sales, revenues and profitability may decline, which in turn may adversely affect the activities, financial standing and results of the Company and the Dino Polska Group.

An increase in costs could have a material adverse effect on the activity of Dino Polska

Although the Dino Polska Group determines its planned costs partly on the basis of expected future revenues on sales, a significant part of the costs by nature is fixed or may increase and cannot be adjusted quickly if the future revenues prove to be lower than expected or if costs rise faster than revenue or if unexpected costs arise. Accordingly, if sales revenue in any period is significantly lower than expected, it may not be possible to adjust the main costs by nature in an appropriate proportion and quickly enough, which may reduce the profitability of Dino Polska and the Dino Polska Group. In addition to the cost of goods and materials sold, which is the largest cost item by nature, the operating and financial results are also affected by other material costs, the most important of which are costs related to the consumption of materials and energy, employee benefits and external services. The increase in the costs described above depends largely on factors beyond the control of Dino Polska.

An increase in costs may have a direct impact on the results and financial standing of the Company and the Dino Polska Group. The Dino Polska Group cannot give an assurance that it will be possible to cover higher costs with higher revenues from sales. If it proves impossible then it may have an adverse effect on the activities, financial standing and results of the Company and the Dino Polska Group.

Dino Polska Group may not be able to repay its financial debt, provide financing on favorable terms, or lose strategic assets if it defaults on the terms of financing

To finance its activity, the Dino Polska Group uses, among others, external funding that consists of loans and borrowings from financial institutions and outstanding bonds. The Management Board cannot guarantee that the Dino Polska Group will be able to finance its operations on favorable terms and, once it has obtained funding, that it will be able to pay interest and principal or perform other obligations under the financing agreements. If the Dino Polska Group is unable to obtain additional funding in accordance with its expectations, it may be forced to change its strategy, limit growth, and as a result the pace of achieving its strategic objectives may be slower than expected.

Additionally, the property, plant and equipment of the Dino Polska Group, including the properties on which the Dino Polska Group operates or intends to operate have been encumbered with numerous security interests (e.g. mortgages). In the event that the Dino Polska Group is unable to pay its liabilities under its financing agreements, the lenders will be able to satisfy themselves from its assets, which will result in the loss of the assets on which the security interests are created.

Moreover, the financing agreements concluded by the Dino Group contain many standard obligations, including covenants to maintain certain financial ratios, not to allow third party rights to be established on assets, cross-default clauses or change of business clauses. A breach of covenants may result in a default on financing agreements, a negative change in the terms of financing granted or, if a proper waiver of any covenant is not obtained from the financing entities, they may refuse to continue the financing and may demand repayment of the extended loans, declare them due and payable or satisfy themselves from Dino Polska Group's assets, which will be lost.

Each of the above events may have a negative impact on the activities of the Company and the Dino Polska Group, their financial standing, results and prospects.

Dino Polska Group's insurance cover for its operations may not be sufficient or available.

The Dino Polska Group's insurance policies may not cover all the losses that the Dino Polska Group may incur in the course of its business, and certain insurance policies may not be available on economically justified terms.

The Dino Polska Group's insurance cover may not be sufficient to cover its losses or to satisfy claims raised against the Group. Insurance cover may also not be available in this respect. Moreover, an insurer may, in the circumstances specified in the pertinent insurance contracts, refuse to satisfy the Dino Polska Group's claims or cover the losses it incurs. There may also be risks that are not insurable or where insurance is not economically justified or, in the opinion of Dino Polska Group, the proposed terms and limits of insurance are not sufficient to minimize the possible high loss coverage costs. In that way the Dino Polska Group may not obtain full damages based on the executed insurance contracts to cover the losses related to the business it conducts, and the Dino Polska Group's insurance cover may be insufficient. In addition, the insurance policies held by the Dino Group are subject to limits on the amount of insured claims.

As a result, the Dino Polska Group may have insufficient protection against losses that it could suffer in the course of its business. Any uninsured loss or loss exceeding the sums insured may have an adverse effect on the activities, financial standing and results of the Dino Polska Group.

The Dino Group is exposed to risk related to the significant usage of cash in its operations

On account of the nature of the retail grocery market and since the customers of the Dino store network frequently pay for their purchases with cash, Dino Polska handles a large quantum of cash transactions in its operations. Accordingly, it is exposed to the risk of loss, theft, robbery and other fraudulent activity, which in total, if they are considerable, may exert an adverse impact on the activities, financial standing and results of the Company and the Dino Polska Group.

The violation of regulations regarding the production and distribution of food may lead to disruptions in the operation of stores, distribution centers and the meat processing plant

In addition, Dino Polska, as a producer and distributor of food, is obligated to adhere to specific requirements ensuing from prevailing regulations, while its activities and the products it produces are subject to supervision and inspection by many public supervision authorities, in particular, in terms of adhering to the rules pertaining to the procedures for producing food to ensure that food products are safe for consumers. Accordingly, Dino Polska is obligated to adhere to many sanitary requirements and procedures, in particular requirements and procedures pertaining to health and safety, and also to monitor and conduct laboratory analyses of the quality of raw materials and finished products.

If Dino Polska or its subsidiaries fail to satisfy the qualitative requirements and the requirements pertaining to health protection and the sanitary requirements ensuing from the relevant regulations, the production or distribution of goods may be suspended or curtailed. In the event of a disruption to production in the meat processing plant run by the Dino Polska Group, the Company may be compelled to find some other supplier or suppliers, which may be impeded in the short-run.

The occurrence of any of the above risk factors may have a material adverse effect on the reputation, activities, financial standing and results of the Company and the Dino Group.

The deterioration of the epidemiological situation could have an adverse effect on the activity of the Dino Polska Group

The Company monitors the epidemiological situation in Poland and its impact on its business on an ongoing basis. As of the Report Date all of the operating areas of the Company are functioning efficiently and there are no major reasons to revise the plans and targets the Management Board set for 2021. Even though the Company has undertaken multiple preventive measures and implemented a rigorous sanitary regime in all of its operating areas, one cannot preclude that it will not be capable of fully anticipating and preventing any and all possible consequences of the further spread of the epidemic. The implementation of new restrictions by the Polish government and the application of home-based quarantine to the general populace may affect the Dino Group unfavorably, including the sales revenue generated by the Dino Group, the costs it incurs, business continuity in various areas and the Company's supply chain.

Risks related to regulatory environment

Bad interpretation or change of law may adversely affect the Dino Group

The activities of the Dino Polska Group are subject to various regulations (among others, in respect to food production, fire and safety regulations, provisions of labor law and environmental law). These regulations exert a significant influence on the activities of the Dino Polska Group. If the Dino Polska Group does not operate in compliance with these requirements, it may be liable to pay penalties, fees or damages as provided for by the relevant legislation and may even be required to suspend part of its operations.

Moreover, the substantial number of rules and regulations of importance in the operations of the Dino Polska Group may become more stringent, which could slow down the growth or cause a decline of the Dino Polska Group's revenue, which would not be covered by the possible decline in operating expenses.

The occurrence of the foregoing factors may heighten the risk of incurring additional and unforeseen costs, which may adversely affect the operations of the Company and the Dino Polska Group, their financial standing, growth prospects and results.

Changes in the tax law applicable to the operations of the Dino Group or its interpretation, as well as changes in individual tax rulings may adversely affect the Dino Group

The activities of the Dino Polska Group are subject to various regulations in the field of tax law. There can be no assurance that the tax authorities will not issue a different tax ruling in regard to the tax regulations applied by the Company or Dino Group companies, which could be unfavorable to the Company or Dino Group companies. Also, there can be no assurance that the individual tax rulings obtained and applied by the Company or the Dino Polska Group companies will not change or be rendered inoperative. One cannot preclude the possibility of the tax authorities challenging the correctness of tax settlements made by the Company or the Dino Group companies, which may have an adverse effect on the Dino Group's business, its financial standing and results. There is also a risk that, as new regulations and the new retail sales tax are implemented or VAT increases, the Company or the Dino Group companies will have to undertake adaptive efforts, caused by the circumstances, which may lead to considerable expenses or possibly to a decrease in the level of sales and revenues of the Dino Group.

6. CORPORATE GOVERNANCE

6.1. Representation on the application of corporate governance

Dino Polska, as a company listed on the regulated market run by the Warsaw Stock Exchange is subject to the corporate governance principles defined in the document entitled Best Practices of WSE Listed Companies 2016. The document is available at the Stock Exchange website (<http://www.gpw.pl>) in the section devoted to corporate governance of listed companies.

The Best Practices of WSE Listed Companies 2016 is a set of recommendations and rules of proceeding concerning in particular the governing bodies of listed companies and their shareholders. If a principle is not permanently implemented by a listed company or it has been incidentally breached, the listed company is obligated to notify that fact in the form of the current report. Moreover, a listed company is obliged to attach to the annual report a report containing information on the scope of its application of the Best Practices of WSE Listed Companies 2016 in a given financial year.

Dino Polska observes most of the recommendations and standards included in the Best Practices of WSE Listed Companies 2016, except for the following:

- Detailed standard I.Z.1.3. – to the extent it refers to the division of duties and responsibilities among members of the management board drawn up according to standard II.Z.1.
The standard is not applied in connection with the fact that the Company does not apply the detailed standard II.Z.1.
- Detailed standard I.Z.1.20. – to the extent it refers to an audio or video recording of the shareholder meeting.
The Company notes that if the shareholders: (i) show interest in audio or video recordings of the Shareholder Meeting, and (ii) notify the Company of such interest then the Company will comply with the shareholders' expectations in this respect and will publish an audio or video recording of the shareholder meeting on its website.
- Recommendation II.R.2 – to the extent it refers to diversity of the corporate bodies in terms of gender.
The Company supports this recommendation and has a policy in place under which the Company employs competent, creative individuals with appropriate professional experience and education. As at the Report Date, the three-person composition of the Dino Polska Management Board consists of one woman and two men. As at the Report Date, no woman sits on the five-person Supervisory Board.
- Detailed standard II.Z.1. – to the extent it refers to the internal division of responsibilities for individual areas of the company's operation among members of the management board.
The Company does not have in place a formal division of duties and responsibilities among Management Board members. The Company believes that such a solution is appropriate and adequate to the current stage of development and scale of the Company's operations and ensures effective management.
- Recommendation IV.R.2. - to the extent that it refers to shareholders' participation in shareholder meetings using IT tools, in particular bilateral mutual real-time communication, participating in discussions during the meeting for shareholders who are physically absent at the venue of the shareholder meeting.
The Company points out that providing the necessary technical infrastructure will require costs and other resources of the Company that are disproportionate to the potential interest of its shareholders. Therefore, the Company does not plan to conduct a shareholder meeting using electronic means of communication.
- The detailed standard IV.Z.2. - to the extent it relates to the provision of publicly available broadcasts of shareholder meetings in real time.
The Company does not plan to broadcast the shareholder meeting in real time because of the additional resources it would have to devote to this undertaking. Nevertheless, the Company will consider transmitting the Shareholder Meeting in real time, if this is requested in the future by the shareholders.

In addition, with regard to recommendation I.R.2. Dino Polska reports that it does not conduct any sponsoring activity. Charitable activity is conducted by the Dino – Najbliżej Ciebie Foundation, which has been holding the status of a public benefit organization since October 2015. The foundation aims to selflessly help people in need, especially individuals suffering from diseases and children.

No formal diversity policy is in operation in the Company. The Shareholder Meeting and the Supervisory Board elect the members of the Supervisory Board and the Management Board based on their competences and experience, notwithstanding their age, gender, education and other attributes. The Company's Management Board is guided by these very same criteria when it makes staffing decisions pertaining to key managers. The Company does its utmost to ensure that all employees have equal opportunities in terms of professional development and promotions.

6.2. Internal control and risk management system in the process of preparation of financial statements

The Parent Company's standalone financial statements have been prepared in accordance with the following:

- Accounting Act of 29 September 1994 (consolidated text: Journal of Laws of 2017, item 2342, as amended),
- internal accounting procedures based on the accounting policies in effect in Dino Polska,
- applicable law and provisions of the articles of association of Dino Polska.

The financial statements have been prepared under the historical cost convention. The Company has drawn up its profit and loss account by using the comparative format. The statement of cash flows has been drawn up using the indirect method.

The consolidated financial statements are prepared in accordance with the International Financial Reporting Standards ("IFRS") endorsed by the European Union ("EU IFRS"). As at the date of approving these financial statements for publication, considering the pending process of introducing IFRSs in the EU, the IFRS applicable to these financial statements do not differ from the EU IFRS. The EU IFRS include standards and interpretations accepted and published by the International Accounting Standards Board.

The Group's entities keep their accounting books in accordance with the accounting policies set forth in the Accounting Act of 29 September 1994 (the "Act"), as amended, and the regulations issued on its basis ("Polish Accounting Standards"). These consolidated financial statements include a number of adjustments not included in the accounts of the Group companies, which were made to bring the financial statements of those companies into conformity with IFRS.

The process of preparing financial statements is covered by an internal control and risk management system, which contributes to the credibility and accuracy of financial reporting, and compliance with the law and internal regulations. The internal control system entails:

- control activities performed by employees of the Dino Polska Group companies as part of their tasks and duties (the current allocation of duties rules out the possibility of one employee performing activities related to the execution and documentation of business operations from beginning to end),
- functional control performed by all the employees in managerial positions who oversee the organizational cells reporting to them,

Risk management in the process of preparing the financial statements is based on risk identification and assessment combined with defining and taking actions aimed at minimizing or eliminating risks in their entirety. The Chief Accountant and the Management Board Member responsible for Finance to whom the financial and accounting teams report oversee the process of preparing the financial statements of the Parent Company and the consolidated financial statements of the Dino Polska Group. The risk management process starts already at the Group's lowest levels, so as to ensure fulfillment of the intended objectives. Risk management in the Dino Polska Group is a process overseen by the Management Board and key managerial personnel.

The accuracy of preparation of the financial statements is also verified by Supervisory Board members as part of the Audit Committee's duties entrusted to the Supervisory Board. To confirm the consistency of the data contained in the financial statements with the facts and records in the accounting ledgers kept by the Company, the financial statements are audited by a statutory auditor who issues an opinion in this respect. All actions taken by the company are aimed at ensuring compliance with the provisions of law and the facts, and early identification and elimination of potential risks so that they do not affect the credibility and accuracy of presented financial data.

6.3. Share capital, shares and shareholders of Dino Polska

As at the Report Date, the Company's share capital is PLN 9,804,000 and is divided into 98,040,000 series A ordinary bearer shares with a par value of PLN 0.10 each. The shares are not preferred in terms of voting rights, dividend rights or distribution of assets in the case of liquidation of the Company. There are no shares in the Company with special control powers attached. Nor are there any restrictions on the exercise of voting rights or transferability of legal title to Dino Polska shares. As of the Report Date:

- there are no shares which do not represent the Company's share capital (do not constitute a stake in the share capital),
- The Company does not hold any treasury shares, and no Subsidiary or third party acting for or on behalf of the Company holds any Dino Polska shares,
- neither the Company nor any of its Subsidiaries acquired treasury shares (of Dino Polska) in 2020,
- neither the Company's nor any Subsidiaries' capital is subject to options, and it has not been agreed, conditionally or unconditionally, that the capital of any such entities will become subject to options,
- there are no convertible securities or securities exchangeable for securities (including shares) of the Company or securities with warrants issued by the Company, and
- the Articles of Association do not contain any provisions authorizing the Management Board to increase the Company's share capital as part of authorized capital.

Dino Polska S.A.'s shareholder structure as at the end of 2020

	Number of shares and number of votes at the Shareholder Meeting	Share in the share capital and in votes at the Shareholder Meeting
Tomasz Biernacki with a subsidiary*	50,160,000	51.16%
Other shareholders	47,880,000	48.84%

* - BT Kapital Sp. z o.o., a subsidiary of Tomasz Biernacki, holds a total of 160 thousand Company shares

As at the Report Date, to the Company's best knowledge, the only holder of Dino Shares representing, directly or indirectly, at least 5% of the total number of votes at the Shareholder Meeting, is Tomasz Biernacki, Chairman of the Dino Polska Supervisory Board.

Michał Krauze, a Management Board Member, held 30,000 Company shares as at the Report Date. Among the Supervisory Board members, as at the Report Date Dino shares were held by Tomasz Biernacki (Supervisory Board Chairman) as detailed in the table above and Eryk Bajer with 27,890 shares and Sławomir Jakszuk with 1,600 shares.

Dino Polska Management Board and Supervisory Board Members do not hold any shares in Dino Polska's subsidiaries. The Company does not have an employee share ownership plan and hence it does not have an employee share ownership plan control system. The Company is unaware of any agreements which may result in future changes to the proportions of the Dino Polska shares held by the shareholders. No other changes to the share capital took place in 2020 or up to the Report Date.

6.4. DINO Polska Bonds

On 21 September 2017, the Management Board of Dino Polska adopted a resolution to establish a program for the Company to issue bonds up to the amount of PLN 500 million ("Program"). Under the Program the Company

may conduct multiple issues of secured bearer bonds in electronic form (not in paper form) denominated in Polish zloty. Decisions regarding the launch of further issues under the Program and their amounts will be made based on the Company's current funding needs. Detailed parameters of bond issue will be determined before the issue of a given bond series. The various series of bonds issued under the Program may contemplate registration of the bonds in the securities depository run by Krajowy Depozyt Papierów Wartościowych S.A. and of introducing them to be traded in the alternative trading system run by Warsaw Stock Exchange S.A. or BondSpot S.A.

This Program's objective is to diversify the sources of funding and optimize the Company's operating expenses. The Program will not affect the Company's current targets regarding the overall level of net debt to EBITDA. The cash funds obtained through the Program will be allocated to develop the Company's operations under its current growth strategy entailing in particular the roll-out of its own store network with distribution centers and logistic network.

On 13 October 2017, as part of the Program, the Company issued 100,000 series 1/2017 secured bearer bonds with a nominal value of PLN 1,000 each and a total nominal value of PLN 100 million ("Bonds"). The proceeds were used by the Company in accordance with the goal specified above. In 2020, according to the issue conditions, the Company redeemed the aforementioned series.

On 26 June 2019, as part of the Program, the Company issued 1,700 series 1/2019 secured bearer bonds with a nominal value of PLN 100,000 each and a total nominal value of PLN 170 million. The proceeds were used by the Company in accordance with the goal specified in the Program. The Bonds are secured by sureties of selected Dino Polska Group companies. The issue price of the bonds was equal to their par value. The Bonds were offered to be bought under a private issue according to article 33, item 2 of the Bond Act of 15 January 2015 and bear interest at a floating interest rate equal to WIBOR 3M plus a fixed margin of 1.30 percentage points per annum. The Bonds were registered in the securities depository run by the National Depository for Securities (KDPW S.A.) and introduced to be traded in the alternative trading systems run by Warsaw Stock Exchange (GPW S.A.) and BondSpot S.A. The final maturity of the Bonds is 26 June 2022.

On 6 October 2020, the Company issued 250,000 series 1/2020 secured bearer bonds with a nominal value of PLN 1,000 each and a total nominal value of PLN 250 million. The Bonds are secured by sureties of selected Dino Polska Group companies. The issue price of the bonds was equal to their par value. The bonds were offered for purchase pursuant to art. 33 item 1 of the Bond Act of 15 January 2015 in a manner that did not require the Company to prepare a prospectus or information memorandum. The bonds bear interest at a floating interest rate of WIBOR 3M plus a fixed margin of 1.3 percentage points per annum. The Bonds were registered in the securities depository run by the National Depository for Securities (KDPW S.A.) and introduced to be traded in the alternative trading systems run by the Warsaw Stock Exchange. The maturity of the bonds was set for 6 October 2023. The bond proceeds were used by the Company in accordance with the goal specified in the Program.

6.5. Management Board of Dino Polska

Members of the Dino Polska Management Board are appointed for a joint term of three years. The mandate of a member of the Management Board expires no later than on the date of holding the Shareholder Meeting approving the financial statements for the last full financial year of serving as a member of the Management Board.

Composition of the Management Board

The Management Board comprises of between one and five persons. The number of members of the Management Board of a given term is set by the Supervisory Board.

Management Board Members, including the President of the Management Board, are appointed and dismissed by the Supervisory Board. Each Management Board member may be dismissed by the Supervisory Board at any time both for cause and without cause. The Supervisory Board may suspend some or all of the members of the Management Board due to important reasons. A Management Board member may also be dismissed or suspended in performance of his/her duties by a resolution adopted by the Shareholder Meeting.

Management Board's powers

The Management Board manages the Company's operations and assets and represents the Company externally before courts, authorities and third parties. The Management Board makes decisions in all the matters that are not reserved by the law or the Articles of Association as exclusive powers of the Supervisory Board or the Shareholder Meeting. Management Board Members do not have the power to decide on share issues or buyouts. All of the Management Board members are obligated and entitled to manage the Company's business jointly. Two Management Board members acting jointly or one Management Board member acting jointly with a commercial proxy are authorized to submit representations of will and sign on behalf of the Company.

Management Board Members

At the end of 2020 and as at the Report Date, the Management Board consists of three members, i.e. Izabela Biadała (appointed to the Management Board on 24 June 2020), Michał Krauze and Michał Muskała.

Szymon Piduch ceased to act in the capacity of the President of the Management Board of the Company on 2 July 2020 in connection with his transfer to Dino Polska's Supervisory Board. On 12 January 2021 Szymon Piduch tendered his resignation from membership in the Dino Polska Supervisory Board citing personal reasons as the basis for this decision.

Composition of the Dino Polska S.A. Management Board at the end of 2020 and as at the Report Date

Full name	Age	Position	Date of assuming the function in the current term of office
Izabela Biadała	46	Management Board Member	24.06.2020
Michał Krauze.....	38	Management Board Member	5.10.2018
Michał Muskała	32	Management Board Member	30.08.2019

Izabela Biadała and Michał Krauze have been employees of the Dino Polska Group since 2002.

From 2002 to 2011 Izabela Biadała worked in jobs in administration, logistics and accounting. She has held managerial functions in the Company since 2011. In November 2019 she took the position of Director of Administration and then in March 2020 she started to act in the capacity of Director of Operations and Administration.

In 2002-2007, Michał Krauze was an accountant, then, in 2007-2011, an independent accountant, and then, in 2011-2016, a financial controller. He was appointed to the Management Board in May 2014, and since July 2016 he has also been discharging the function of Chief Financial Officer.

Michał Muskała joined Dino Polska S.A. in 2018. He is responsible for the preparation, supervision and execution of all of the Company's investment projects (in particular for its distribution centers and stores) and for the technical division.

Compensation and terms of employment contracts of Management Board members

Compensation and rules for compensating Management Board members and rules governing the employment of Management Board members

Contracts between Management Board members and the Company

Management Board members are employed under employment contracts. Such contracts contain the fundamental provisions required by the provisions of labor law, including the job description and the amount of employee compensation. Contracts with the Management Board members have been entered into for an indefinite term and may be terminated with three months' notice. Moreover, these contracts contain confidentiality clauses applicable to the Management Board members and they require Management Board members to refrain from involvement in any business competitive to that of the Company or of the Subsidiaries during the employment relationship and for a period of 12 months following the expiration or termination of the employment contract for any reason. A contractual penalty is provided for a breach of the non-competition clause during the term of the employment

contract, equal to 6 times the average gross monthly compensation obtained by the pertinent Management Board member prior to the cessation of the employment relationship, with an option allowing for the Company's pursuit of damages for any loss the value of which is greater than the amount of the contractual penalty. A contractual penalty is provided for a breach of the non-competition clause after the termination of the employment contract, equal to twice the amount obtained by the pertinent Management Board member as compensation for refraining from involvement in competitive activity, with an option allowing for the pursuit of damages for any loss the value of which is greater than the amount of the contractual penalty. Each Management Board member is entitled to (lump-sum) compensation for adherence to the non-competition clause after the termination of the employment relationship in an amount equivalent to 12 times the average gross monthly compensation obtained by the relevant Management Board member prior to such termination. The said compensation is payable in twelve monthly installments. The contracts between the Management Board members and the Company do not provide for any other compensation in the event of a Management Board members' resignation or dismissal without a significant reason or if such dismissal results from the Company's merger with another entity by way of an acquisition. Management Board members may not, without the consent of the Supervisory Board, accept the function of a member of the management board or supervisory board in any companies other than Dino Polska's related entities.

Contracts between Management Board members and the Subsidiaries

In addition to the employment contract with the Company, Michał Krauze has entered into a mandate agreement with Agro-Rydzyna under which he performs activities related to the discharge of the function of a management board member in Agro-Rydzyna. His agreement with Agro-Rydzyna contains provisions on confidentiality and the requirement to refrain from the conduct of any competitive business during the term of the agreement and for 12 months following its expiration or termination for any reason. The compensation for refraining from the involvement in any competitive business provided for in the employment contract with the Company is also treated as the compensation for refraining from the involvement in any business competitive to that run by Agro-Rydzyna.

In addition to the employment contract with the Company, Michał Muskała has entered into a mandate agreement with CWN under which he performs activities related to the discharge of the function of a management board member in this company. His agreement with CWN contains provisions on confidentiality and the requirement to refrain from the conduct of any competitive business during the term of the agreement and for 12 months following its expiration or termination for any reason. The compensation for refraining from the involvement in any competitive business provided for in the employment contract with the Company is also treated as the compensation for refraining from the involvement in any business competitive to that run by CWN sp. z o.o.

In addition to the employment contract with the Company, Izabela Biadała has entered into a mandate agreement with Dino Południe Sp. z o.o. under which she performs activities related to the discharge of the function of a management board member in this company. Her agreement with Dino Południe contains provisions on confidentiality and the requirement to refrain from the conduct of any competitive business during the term of the agreement and for 12 months following its expiration or termination for any reason. The compensation for refraining from the involvement in any competitive business provided for in the employment contract with the Company is also treated as the compensation for refraining from involvement in any business competitive to that run by Dino Południe sp. z o.o.

Management Board members obtain discretionary bonuses from the Subsidiaries in which they discharge managerial functions.

Amounts of compensation and other benefits due the Management Board members from the Company and the Subsidiaries

The compensation for Dino Polska's Management Board Members is paid in accordance with the "Compensation Policy for Management Board and Supervisory Board Members of Dino Polska S.A." approved by a resolution adopted by the Company's Shareholder Meeting on 2 July 2020. The Company's Supervisory Board sets the amount of compensation amount for the Members of the Company's Management Board while taking into consideration the following: (i) the Company's financial position, (ii) the results achieved, (iii) the experience and professional qualifications of a given Management Board Member and (iv) the level of responsibility ensuing

from the position held. Compensation of the Members of the Company's Management Board is set in a way that supports the achievement of strategic objectives of Dino Polska S.A. and ensures the maintenance of the Company's secure financial standing.

Compensation for the Management Board Members includes fixed (monthly) and variable compensation. According to the adopted policy and having regard for the Company's rapid growth and its strategic objectives, more weight is placed on variable or bonus compensation in the total compensation payable to the Members of the Company's Management Board. The fixed compensation of Management Board Members should not be higher than 10 times the average compensation of a full-time employee in the Company. Variable compensation is paid in the form of quarterly bonuses (at the discretion of the Supervisory Board) and annual bonuses (depending on the amount of the Company's consolidated net profit earned in the financial year for which it is paid).

The table below shows the amounts of compensation and other benefits payable or paid to each Management Board member by the Company and the Subsidiaries in 2020.

Full name	Compensations received from the Company		Compensations received from the Subsidiaries	
	Base compensation under the employment contract	Additional compensation in the form of discretionary bonuses	Base compensation under civil law agreements	Additional compensation in the form of discretionary bonuses
	(PLN thousand)			
Szymon Piduch*	39.9	130.1	270.1	-
Izabela Biadała**	120.0	326.1	40.0	-
Michał Krauze.....	66.0	617.4	148.8	-
Michał Muskała	120.0	260.6	120.0	-

* Szymon Piduch acted in the capacity of the President of the Management Board of the Company until 2 July 2020

** total compensation received in 2020 (for the period of serving in the capacity of a Management Board Member (from 24 June 2020) and for the earlier period when Izabela Biadala served as the Director of the Department of Operations and Administration)

The table below shows the amounts of compensation and other benefits payable or paid to each Management Board member, which served as the Management Board Members at the end of 2019 by the Company and the Subsidiaries in 2019.

Full name	Compensations received from the Company		Compensations received from the Subsidiaries	
	Base compensation under the employment contract	Additional compensation in the form of discretionary bonuses	Base compensation under civil law agreements	Additional compensation in the form of discretionary bonuses
	(PLN thousand)			
Szymon Piduch	68.4	1,176.2	275.2	
Michał Krauze.....	66.0	432.6	148.8	
Michał Muskala*	214.7	98,1	20.0	

* - total compensation received in 2019 (for the period in which Michał Muskala discharged the function of a Management Board member and for the earlier period when he was, among others, Director of the Technical Department in Dino Polska).

The Management Board members are covered by third party liability insurance.

Other than the benefits described above, as at the end of 2020 the Management Board members were not covered by any contingent or deferred benefits granted by the Company or the Subsidiaries.

There are no contracts between the Management Board members and the Company or the Subsidiaries providing for any benefits payable upon termination of the employment relationship. There are no liabilities arising from pension obligations or similar benefits payable to former members of management, supervisors or former members of administrative bodies.

6.6. Shareholder Meeting, shareholder rights and rules for amendment of the articles of association

A Shareholder Meeting is convened by way of an announcement published on the Company's website and in the manner provided for in the Commercial Company Code as well as in compliance with the Public Offering Act. Such an announcement should be published at least 26 days prior to the date of the Shareholder Meeting. Shareholder Meetings are held in the Company's registered seat or in Warsaw or in some other venue in Poland designated by the Company in the announcement regarding the convening of the Shareholder Meeting.

A Shareholder Meeting is convened by the Management Board. The Supervisory Board may convene an ordinary Shareholder Meeting if the Management Board fails to convene it within the prescribed time limit and may convene an extraordinary Shareholder Meeting if the Supervisory Board considers it expedient. The right to convene an extraordinary Shareholder Meeting is also vested in Company's shareholders representing at least half of the Company's share capital or at least half of all votes in the Company. In such a case, the Company's shareholders have the right to appoint the chairperson of the Shareholder Meeting.

Moreover, a shareholder or shareholders representing at least one-twentieth of the Company's share capital may request that an extraordinary Shareholder Meeting be convened and that specified items be placed in the agenda of the Shareholder Meeting. Such a request to convene an extraordinary Shareholder Meeting must be submitted to the Management Board in writing or in electronic form. If, within two weeks from the date of submission of the request to the Management Board, the latter fails to convene the extraordinary Shareholder Meeting, the court of registration may authorize the Company's shareholders who have submitted the request to convene the extraordinary Shareholder Meeting themselves. In such a case, the court appoints the chairperson of the Shareholder Meeting.

The right to participate in the Shareholder Meeting is vested only in those persons who are the Company's shareholders sixteen days prior to the date of the Shareholder Meeting (date of registration of participants). The shareholders have the right to participate in the Shareholder Meeting and exercise their voting rights in person or by proxy. Furthermore, each shareholder is entitled to have a say on the matters included in the agenda. A detailed description of the procedures governing participation in Shareholder Meetings and the exercise of voting rights is always provided along with the announcement on convening a Shareholder Meeting.

The Shareholder Meeting is the body authorized to make decisions concerning issues related to the organization and operations of the Company, except for the cases specified in the Commercial Company Code and the Articles of Association. The rules for holding the Company's Shareholder Meetings are defined by the Rules and Regulations of the Shareholder Meeting in Dino Polska S.A. published on the website grupadino.pl.

The rights of the shareholders and the method of exercising them at the Shareholder Meeting are specified in the Commercial Company Code and the Articles of Association. In accordance with the Articles of Association, the powers of the Shareholder Meeting include:

- appointing and dismissing Supervisory Board members;
- defining the rules for compensating Supervisory Board members and setting the amounts of such compensations,
- establishing, utilizing and dissolving reserve capital and other special-purpose funds as well as utilizing supplementary capital.

An amendment to the Articles of Association requires the adoption of a Shareholder Meeting resolution by a three-fourths majority of votes. An amendment to the Articles of Association materially changing the Company's line of business (Article 416 § 1 of the Commercial Company Code) does not require a buyout of the shares held by the shareholders objecting to such an amendment if the relevant resolution of the Shareholder Meeting is adopted by a 2/3 (two-thirds) majority of the votes in the presence of shareholders representing at least one half of the share capital.

6.7. Supervisory Board and its committees

The Supervisory Board exercises regular supervision over the Company's operations in all areas of its activity. Members of the Supervisory Board are appointed for a joint term of three years. The mandates of the members of the Supervisory Board expire, at the latest, on the date of holding the Shareholder Meeting approving the financial statements for the last full financial year during which they held the position of a Supervisory Board member.

The Supervisory Board consists of five to eight members.

As at the Report Date, according to the Articles of Association, Supervisory Board members are appointed and dismissed in the following manner:

- a) as long as Tomasz Biernacki holds shares representing at least 50% of the overall number of votes at the Shareholder Meeting plus one share, Tomasz Biernacki will be authorized to appoint and dismiss one member of the Supervisory Board who will also serve as the Supervisory Board Chairman, by way of written representation to appoint or dismiss a Supervisory Board member, which becomes effective upon delivery to the Company;
- b) the other Supervisory Board members are appointed and dismissed by the Shareholder Meeting and the Supervisory Board Deputy Chairperson is elected by Supervisory Board members from among themselves.

In the case of voting in separate groups in accordance with the procedure prescribed by Article 385 of the Commercial Company Code, the Supervisory Board will have eight members, however, until the expiry of the powers referred to in item (a) above, Tomasz Biernacki will have the right to appoint the Supervisory Board Chairman from among the Supervisory Board members elected in connection with the voting in by voting in separate groups. If the powers referred to in item (a) above expire, then the Supervisory Board Chairman will be elected by the Supervisory Board members from among themselves.

Supervisory Board members

As at the Report Date, the Supervisory Board consists of five members.

The following table presents basic information on the Supervisory Board members at the end of 2020 and as at the Report Date.

Full name	Age	Position	Date of assuming the function in the current term of office
Tomasz Biernacki.....	47	Supervisory Board Chairman	21 May 2018
Eryk Bajer	52	Supervisory Board member	21 May 2018
Szymon Piduch.....	49	Supervisory Board member	2 July 2020*
Maciej Polanowski	50	Supervisory Board member	21 May 2018
Piotr Nowjalis.....	46	Supervisory Board member	21 May 2018
Sławomir Jakszuk.....	57	Supervisory Board member	21 May 2018

* On 12 January 2021 Szymon Piduch tendered his resignation from membership in the Dino Polska Supervisory Board

Eryk Bajer, Tomasz Biernacki and Maciej Polanowski have been discharging the functions of the Company's Supervisory Board members since 2010. Piotr Nowjalis and Sławomir Jakszuk have been discharging the functions of the Company's Supervisory Board members since 2015.

Audit Committee

According to the Articles of Association, the Supervisory Board appoints the Audit Committee whose composition complies with the Statutory Auditor Act and the Best Practices of WSE Listed Companies. The Company's Audit Committee was appointed by a Supervisory Board resolution of 1 December 2016.

The tasks of the Audit Committee include, in particular (i) monitoring the financial reporting process; (ii) monitoring the effectiveness of the internal control, internal audit and risk management systems; (iii) monitoring the performance of the financial review activities; (iv) monitoring the independence of the statutory auditor and the entity authorized to audit financial statements, also if services other than financial review are performed for the Company; and (v) recommending the entity authorized to audit financial statements to the Supervisory Board to perform the financial review activities for the Company.

On 14 June 2018 the composition of the audit committee of the new term of office of the Company's Supervisory Board was appointed. The following persons were appointed to the committee: Piotr Nowjalis (Audit Committee Chairman), Sławomir Jakszuk and Maciej Polanowski.

Piotr Nowjalis satisfies the criteria for independence prescribed by the Best Practices of WSE Listed Companies. Additionally, he satisfies the criteria for independence prescribed by the Statutory Auditor Act and holds qualifications in accounting. Sławomir Jakszuk satisfies the criteria for independence prescribed by the Best Practices of WSE Listed Companies. Additionally, he satisfies the criteria for independence prescribed by the Statutory Auditor Act.

Piotr Nowjalis has knowledge and experience in accounting acquired during his career, while discharging the functions of financial director and management board member responsible for finance and accounting in public companies: AB S.A. (2003-2008) and CCC S.A. (2008-2017). Piotr Nowjalis has knowledge concerning retail network management which gained when he was in CCC S.A. in 2008-2017. Sławomir Jakszuk is a partner and legal advisor in the *Prof. Wierzbowski i partnerzy* law firm. He has extensive experience in the area of capital markets and has advised a number of securities issuers on matters associated with their statutory duties.

The Audit Committee held 5 meetings in 2020.

Compensation and rules for compensating Supervisory Board members

The Compensation for Dino Polska's Supervisory Board Members is paid in accordance with the "Compensation Policy for Management Board and Supervisory Board Members of Dino Polska S.A." approved by a resolution adopted by the Company's Shareholder Meeting on 2 July 2020. The Company's Shareholder Meeting sets the amount of compensation amount for the Members of the Company's Management Board.

The table below shows the annual compensation received by the various Supervisory Board members from the Company in 2020 and 2019.

	Compensation from the Company in 2020	Compensation from the Company in 2019
	(PLN thousand)	(PLN thousand)
Tomasz Biernacki.....	0.0	0.0
Eryk Bajer	82.0	83.0
Sławomir Jakszuk.....	82.0	83.0
Piotr Nowjalis	93.1	99.6
Szymon Piduch*	37.2	-
Maciej Polanowski.....	82.0	80.0

* for the period up to 2 July 2020

The total value of the benefits received from the Company by the Supervisory Board members in 2020 was PLN 376.3 thousand (in 2019 the compensation for Supervisory Board members was PLN 345.6 thousand). These benefits included compensation for discharging the function of a Supervisory Board member. In addition to the function of Dino Polska Supervisory Board Member, pursuant to a separate agreement concluded with the Company, in the period from July to December 2020, Szymon Piduch provided business consulting services for which received compensation in the amount of PLN 162.6 thousand.

Supervisory Board members do not receive compensation from Subsidiaries.

6.8. Auditor

Pursuant to § 20 Sec. 1 Item 6 of Dino Polska's Articles of Association, selection of the statutory auditor to audit the financial statements of the Company and the Dino Polska Group is within the powers of the Dino Polska

Supervisory Board. The Supervisory Board selects the statutory auditor on the basis of the opinion and recommendation of the Audit Committee.

On 20 June 2017, the Company entered into an agreement with Ernst & Young Audyt Polska sp. z o.o. sp. k., with its registered office in Warsaw, Rondo ONZ 1, entered in the list of entities authorized to audit financial statements kept by the National Chamber of Statutory Auditors under file number 130, to review the interim financial statements of Dino Polska and the interim consolidated financial statements of the Dino Polska Group, and to audit the standalone financial statements of Dino Polska and the consolidated financial statements of the Dino Polska Group for 2017.

On 7 July 2018, the Company, based on a Supervisory Board decision and based on the Audit Committee's recommendation satisfying the required conditions, extended the agreement with Ernst & Young Audyt Polska sp. z o.o. sp. k., with its registered office in Warsaw, Rondo ONZ 1, to review the interim financial statements of Dino Polska and the interim consolidated financial statements of the Dino Polska Group for 2018, 2019 and 2020, and to audit the standalone financial statements of Dino Polska and consolidated financial statements of the Dino Polska Group for 2018, 2019 and 2020.

In 2018-2020 Ernst & Young Audyt Polska sp. z o.o. sp. k. did not provide to the Company or to its Subsidiaries any services other than the review or audit of the financial statements.

The table below presents the fees charged by the entity authorized to audit the financial statements paid or due for the years ended 31 December 2020 and 2019, by type of service.

Type of services	2020	2019
Mandatory audit of financial statements	410	432
Review of the interim financial statements	71	71
Other audit services	-	-
Tax advisory services	-	-
Total	481	503

Below are the Company's main assumptions of the policy for selecting an audit firm:

- launch of the audit firm selection procedure is preceded by an Audit Committee resolution which obligates the Company to appoint a team to carry out a tender and prepare requests for proposal; the proposals sent to the Company, after they are collectively opened by the tender team, are submitted to Audit Committee members and Supervisory Board members,
- The Company evaluates the proposals submitted by the audit firms in accordance with the selection criteria laid down in the tender documentation and prepares a report comprising the findings of the selection procedure approved by the Audit Committee.
- Evaluating the proposals, the Audit Committee takes into account: a) experience in auditing financial statements of public companies; b) professionalism; c) knowledge of the retail business; d) position of the statutory auditor in the audit service market; e) content and presentation of the proposal; f) price,
- The Audit Committee selects at least two proposals by a majority of votes (if the selection does not pertain to extension of the mandate) or indicates the current audit firm if the mandate is being extended, which are recommended, together with a justification, to the Supervisory Board for selection,
- if the Supervisory Board's decision regarding the selection of the audit firm deviates from the Audit Committee's recommendation, the Supervisory Board is required to present a justification stating the reasons for refusing to follow the Audit Committee's recommendations. The Supervisory Board forwards such justification to the Shareholder Meeting.

The Company has a policy for the provision of permitted non-audit services by the audit firm carrying out the audit, by related parties of such audit firm and by a member of the audit firm network. In line with its assumptions, the provision of non-audit services, save for forbidden services, is possible after the Audit Committee evaluates the threats and safeguards of the independence (the Audit Committee refuses to give consent to the provision of services if there is a risk that the threat to independence cannot be reduced to an acceptable level that does not threaten the Company's interest). In addition, the aforementioned policy defines the periods in which non-audit

services cannot be provided and comprises catalogs of services whose provision by the statutory auditor or audit firm is prohibited, and of permitted services.

6.9. Transactions with related parties

Neither the Company nor its subsidiaries entered into transactions with related parties that deviated from arm's length basis. Detailed information about transactions with related parties is presented in Note 41 to the Company's Financial Statements for the year ended 31 December 2020, and in Note 33 to the Consolidated Financial Statements for the year ended 31 December 2020 prepared in accordance with the International Financial Reporting Standards endorsed for application in the EU.

6.10. Legal proceedings

As at 31 December 2020, Dino Polska and certain Subsidiaries were parties to several legal actions which, in the Company's opinion, did not generate any major receivables or payables. According to the Company's best knowledge, as at 31 December 2020 and the Report Date, there were no pending proceedings pertaining to liabilities and/or receivables of the Company or its subsidiaries whose value would exceed 10% of the Company's equity.

7. “DINO – CLOSEST TO YOU”. CORPORATE SOCIAL RESPONSIBILITY REPORT OF DINO POLSKA

7.1. Dino Polska’s Business Model

Dino Polska is one of the biggest and, at the same time, the most dynamically growing nationwide retail networks. In 2020 Dino Polska completed the investment process to launch 278 stores (with 255 of them opened in 2020 and 23 at the beginning of 2021). At the end of 2020 the network comprised 1,473 stores (without stores waiting to be opened). The Dino Polska Group’s business model combines the advantages of the medium-sized supermarket format situated in convenient locations and fast expansion.

The size of a standard Dino store is about 400 square meters, with a parking lot with several dozen parking spaces for customers, including parking spots for people with disabilities and a bicycle parking rack.

Dino stores are located close to our customers’ place of residence to ensure that customers are able to shop for their first-need articles quickly and conveniently. The rapidly growing Dino store network shortens the distance between consumers and a modern, organized grocery retail network enabling them to save time and save on the costs associated with traveling to more distant stores.

Dino’s product range comprises about 5 thousand stock keeping units (SKU), including mainly fresh products in the fruit and vegetable, dairy, meat and bakery sections, as well as other food, chemical and cosmetic products sold under well-known brands. To provide customers with products of the highest quality Dino’s stores are supplied with fresh products daily.

Every Dino store has a traditional fresh meat counter with counter staff. Agro-Rydzyna, a Dino Polska wholly owned subsidiary operating a meat processing plant, supplies its high-quality meat and cold cuts to these counters. Agro-Rydzyna is the sole supplier of high-quality fresh meat and the main supplier of cold cuts to the Dino stores. The whole production of the meat processing plant operated by Agro-Rydzyna is sold through the Dino store network. The meat processing plant operated by Agro-Rydzyna is located in Kłoda in Wielkopolskie voivodship and has a total floor area of 14,168 square meters.

Dino stores are supported by five distribution centers located in Krotoszyn, Rzeszotary, Wolborz, Jastrowie and Łobza and the transport network managed by Dino Polska but comprised of independent transport companies.

7.2. Dino Polska Group

The Dino Group consists of the parent company Dino Polska S.A. with its registered office in Krotoszyn and its subsidiaries: Agro-Rydzyna sp. z o.o. operating a meat processing plant, which produces cold cuts and fresh meat for the needs of Dino Polska, as well as other companies whose aim is to support development of the Dino network in the areas of logistics and store network roll-out. Dino Polska and the Subsidiaries operate in the Republic of Poland. The Company’s registered office is located at ul. Ostrowska 122, 63-700 Krotoszyn. Dino Polska has no branches outside of Poland’s borders.

Dino Polska is a joint stock company listed on the Main Floor of the Warsaw Stock Exchange since April 2017. Dino Polska is majority-owned by Polish capital. The Company’s share capital is PLN 9,804,000 and is divided into 98,040,000 series A ordinary bearer shares with a par value of PLN 0.10 each. The Company’s dominant shareholder is Tomasz Biernacki, Dino Polska’s Supervisory Board Chairman, who holds 51.16% of shares. The remaining nearly 49% of Dino Polska shares are traded (free float) on the Warsaw Stock Exchange.

The activity of Dino Polska is directed by the Management Board, which defines the strategy and oversees its execution, takes key decisions, manages the Company’s assets and represents it outside of the organization. All the Management Board members jointly direct the Company’s matters, closely cooperate in making decisions, including decisions related to corporate social responsibility.

Dino Polska is represented by a Management Board consisting of the following three people:

- Izabela Biadała, Management Board Member,
- Michał Krauze – Management Board Member,
- Michał Muskała – Management Board Member.

The Dino Group strategy assumes further growth through focus on three key areas:

- Continuation of rapid organic growth in the number of stores,
- Continued growth in LFL sales revenue in the current store network,
- Consistent improvement in profitability.

As at the Report Date, the Dino Polska Supervisory Board consists of five members:

- Tomasz Biernacki – Supervisory Board Chairman,
- Eryk Bajer – Supervisory Board member,
- Sławomir Jakszuk – Independent Supervisory Board member,
- Piotr Nowjalis – Independent Supervisory Board member,
- Maciej Polanowski – Supervisory Board member.

Composition of the managing bodies as of the Report Date

		Age	2018	2019	2020
Company's Board	Management	up to 30 years	0	0	0
		31 to 50 years	2	3	3
		over 50 years	0	0	0
		Total	2	3	3
Supervisory Board		up to 30 years	0	0	0
		31 to 50 years in total	4	3	3
		over 50 years	1	2	2
		Total	5	5	5

According to the Articles of Association, the Supervisory Board appoints the Audit Committee whose composition complies with the Statutory Auditor Act and the Best Practices of WSE Listed Companies (2016). The Audit Committee comprises the following Supervisory Board Members: Piotr Nowjalis – Chairman of the Audit Committee, Sławomir Jakszuk – Audit Committee Member and Maciej Polanowski – Audit Committee Member.

Neither Dino Polska nor its subsidiaries enter into transactions with related parties that deviated from arm's length basis. In 2020, neither Dino Polska nor Dino Group subsidiaries provided any direct or indirect financial or non-financial support for political purposes.

7.3. Our values.

The values of key importance in our daily operations pertain to four strategic areas of our impact on the environment:

- Caring about a good place of work for the Dino Group's employees and associates,
- Building long-term business relations based on trust, transparency and integrity,
- Mindfulness of, and sensitivity to, the social context and the natural environment,
- Activity in line with the idea of "Dino – Closest to You".

We have collected the ethical values we pursue in daily business life in the document entitled "Code of Ethics of Dino Polska S.A. and subsidiaries". The code is expected to be a guide for all employees, collaborators and managers of both Dino Polska and the subsidiaries, describing how to conduct business in compliance with

ethical standards, Polish and international laws and adopted social standards. The code also aims to remind the stakeholders of the need to follow integrity, transparency and responsibility in business, both within and without the Group, with regard to customers, local community and natural environment.

We make all efforts to make sure that Dino Polska and its subsidiaries are a friendly workplace. In employee relations we focus primarily on working in line with our adopted ethical values and in full respect of and in compliance with the laws and standards. We attach a lot of importance to respecting human rights and counteracting all manifestations of discrimination and hence ensuring mental comfort and feeling of safety for our employees.

The Group has in place two whistleblowing mechanisms:

- One of them is used to ensure compliance of the Group's operations with the values collected in the Code of Conduct. The document is published on an Intranet site and on the website www.grupadino.pl, hence it is available to the Group's employees and collaborators as well as the Group's partners, contractors, sub-contractors and customers. Reporting of irregularities on a confidential basis can be done through three channels of communication with the ethics ombudsman: a dedicated e-mail address, a direct meeting with the ethics ombudsman, or traditional mail contact;
- The other mechanism functions within the *"Procedure of anonymous reporting of violations of law, procedures and ethical standards by Dino Polska S.A. employees"*. Depending on the nature of the situation, Company employees are able to report irregularities on an anonymous basis by sending an e-mail to dedicated addresses, by telephone or in person to the Director of the Legal Department, President of the Management Board or Supervisory Board Member. The Company provides whistleblowers with appropriate protection against any retaliatory actions.

Dino Polska has in place an internal anti-mobbing procedure applicable to all Company employees and the position of a Management Board Representative on preventing mobbing reporting directly to the Company's Management Board has been established. The Company takes preventive measures to discourage mobbing at work. Every year, an anti-mobbing survey is conducted among Dino employees, which is aimed at supporting the internal anti-mobbing procedure in preventing the occurrence of mobbing incidents.

The Company also has in place a number of other policies, documents and procedures that define the practices, standards and norms. They include, among others, the Work Rules and Regulations, Rules and Regulations of Head Office Employees (for the administrative staff at the Company's headquarters), Compensation Rules and Regulations and others. They are all available to the Company's employees on the Intranet.

We are committed to high standards of personal data protection. For this purpose, Dino Polska created the position of the Data Protection Inspector and the IT Systems Administrator. In addition, the Company has in place an internal Personal Data Protection Policy. The Policy defines in detail the methods used to secure and handle personal data and identifies the individuals responsible for personal data protection and the principles of personal data processing. The Personal Data Protection Policy provides for regular audits of the compliance of personal data processing with personal data protection regulations and the adopted procedures; it also takes into account the procedures and principles that make it easier for the data subject to exercise its rights, including the information obligation and the rights exercised upon request (i.e. access to data, data rectification, deletion, etc.). The policy is subject to annual review for adequacy, not less frequently than once a year.

The Personal Data Protection Policy applies to all areas of Dino Polska's activity and all the Company employees having access to personal data are familiar with its content. The document is available to all employees of the Company on the Intranet. In addition, training materials on personal data protection and information security in Dino Polska have been prepared for the Company's employees. The data controller ensures access to training on personal data protection to all employees who take part in the data processing process. The training is delivered in the form of scheduled sessions and on an ad hoc basis (according to current needs).

The Company's mission statement of "Dino – Closest to You" is executed mainly through location of the stores. The benefits which follow from the selected development strategy work on several levels, and the Company's openness to launching stores also in smaller towns and rural areas brings benefits in the form of:

- Positive impact on the local labor markets – each store provides work for a dozen or so people. Hence Dino Polska becomes an attractive and important player in the local labor markets, creating employment opportunities near the place of residence, often in places which offer limited stable employment contract-based job opportunities,
- Shortening the distance – Dino stores make it possible to do essential shopping near the place of residence, without the need to go on remote trips to other stores. Dino's product range comprises both groceries, fresh meat, cold cuts and dairy products, fruit and vegetables, non-food items or detergents.

7.4. Our stakeholders

Dino Polska is an important element of the environment in which it operates – it is an employer, business partner, part of the local community and organization whose activity exerts an impact on society and the natural environment. We, ourselves, are also prone to external influence and feel the impact of the environment in which we operate. For this reason we have defined our key stakeholders.

- Customers (consumers) are our most important stakeholder. Hence our core business and, at the same time, key responsibility is to satisfy their needs and expectations in line with the highest standards. In our daily work we strive to be close to our customers and respond to their needs on an ongoing basis. This is a commitment that we pursue by delivering safe, high quality products, ensuring diverse product range, locating our stores near the place of residence of our customers, but also by managing our waste responsibly, ensuring efficient consumption of natural resources and limiting emissions of harmful substances to the environment.

In 2020, due to the pandemic, one of our key objectives and obligations was to make sure our customers can purchase the essential goods in a safe and uninterrupted way. The Company monitors the pandemic situation on an ongoing basis and keeps track of the government's announcements, immediately responding to new guidelines. All stores operate in compliance with the sanitary regime, according to all regulations and legal requirements. The opening hours of Dino stores were extended, hand sanitizers are provided by every entrance, market employees wear protective facemasks and gloves, and the store PA system plays messages reminding customers to cover their mouth and nose during shopping. The period defined by the legislator, from 10:00 to 12:00 hours, Monday through Friday, the stores had "senior time slots".

Also direct contacts with the customers, help with problems, responding to all requests and constant improvement of each aspect of operation of our stores are important to us. Customers can communicate with us through a contact form on our website at www.marketdino.pl. In our marketing communication we also use the Dino promo newspaper, place information in the Dino stores, send out a cyclical newsletter and public content on the www.marketdino.pl website.

- Employees and collaborators, i.e. everyone who directly contribute to the intensive development of Dino Polska, execution of its strategy and building competitive advantages and market force. Employees and collaborators of Dino Polska and its subsidiaries, with their knowledge, skills and competences are one of Dino Group's key resources. We strive to create room for professional and personal development for our employees. Employees may report any irregularities or critical comments to their direct managers on a daily basis. We convey information to our employees using the Intranet, employee mailing, information boards and internal system of rules and regulations, policies and procedures.
- Suppliers with whom we daily make sure that our customers are supplied every day with the broadest possible product offer, in accordance with all security and food quality standards. In relations with suppliers we focus on partnership, transparency and integrity. We openly communicate our values which we follow in our daily business and which we have collected in Dino Polska's Supplier's Code.

- Non-governmental organizations and social entities – we closely cooperate with local and nationwide non-governmental organizations and social entities. Dino – Najbliżej Ciebie Foundation, directly or indirectly, donates grocery and non-grocery products to non-governmental organizations and social entities in line with the social and charitable tasks pursued by those entities. Our collaboration with selected entities has lasted for many years. In 2020 we donated a total of 32,976 kg of food to non-governmental and aid organizations. Non-governmental organizations can communicate with us through the contact form on the www.marketdino.pl website and by contacting directly the Foundation or the CSR and communication specialist.
- People residing in the neighborhood of the stores and local communities – our stores become permanent elements of the local community landscape. Dino Polska’s role is not limited to the role or place where daily shopping is done. We make efforts to have a much broader positive impact on the surrounding communities and environment. We make donations to the municipalities and local governments where our stores are located in the form of investments in safe road traffic (among others, sidewalks, reconstruction of intersections and construction of left and right turns and pedestrian crossings in the vicinity of our stores). The above investments make it possible to our clients to do safe shopping and other traffic participants to safely use the existing road infrastructure. We are open to dialog and where necessary we also take part in consultations. The residents living in the vicinity of stores, distribution centers and local communities can communicate with us through the contact form on our website at www.marketdino.pl.
- Public administration authorities – we want our stores to function well in the local communities; this is why we are cooperating with local public administration authorities in respective towns at the stage of consulting our investments and by providing grocery and non-grocery products to hold events and activities for residents. We communicate with local authorities in daily contacts through employees designated by the Group in each region. Local authorities can also contact us through the contact form on our website at www.marketdino.pl.
- Shareholders and investors – since April 2017 we have been a public company listed on the main floor of the Warsaw Stock Exchange (WSE). We are majority-owned by Polish capital; in addition to the founder of Dino Polska, our shareholders (co-owners) include Polish investment and pension funds, individual stock exchange investors and foreign investors. We make disclosures in accordance with the law and we adhere to the Best Practice of WSE Listed Companies (2016). We communicated with the shareholders and investors through current and periodic reports and the www.grupadino.pl website. We engage in continuous dialogue with shareholders and investors by organizing conferences and conference calls after the publication of financial results and regular participation of the Company’s representatives in investor conferences.

7.5. Our impact

We realize that our activity has impact on the environment. To better define the areas which we impact, in the first place we focused on the key values concerning the workplace, social environment, natural environment and business relations. In these impact areas we identified the following key topics:

The “Workplace” area:

- professional development opportunities,
- occupational safety and health,
- principles of ethics,
- terms of employment.

The “Social Environment” area:

- commitment to the highest quality and safety of products,
- preventing food wastage,
- health impact of products,
- product information.

The “Natural Environment” area:

- waste management and recycling
- reduction of harmful emissions to the environment.

The “Business Relations” area:

- sourcing products from domestic suppliers,
- business ethics.

Workplace

Labor market in which we operate is characterized by a relatively low unemployment rate. The registered unemployment rate in Poland was 6.2% at the end of 2020 and was 1 percentage point higher than at the end of 2019.

The pillars, on which our recruitment and human relations policy is based, are as follows:

- store format and location – we are making the Dino store network denser, as a result of which we are an attractive employer located near the places of residence of our employees; a single Dino store has a dozen or so employees who are hired on a full-time employment contract;
- employee satisfaction – we are regularly reviewing the terms of employment and the staffing of the individual Dino stores. Employees are able to voice their comments on the working conditions and other organizational and employee matters, which are then analyzed by a dedicated person in the Personnel Department at the Company’s head office. We ensure comfort at the workplace by clearly defining responsibilities, standardizing work, eliminating of bureaucracy, ensuring support from the team of internal trainers and the regional manager. We have developed a system of internal training courses and worked out mechanisms that allow us to hire people with no experience and training them to work in retail;
- professional growth, promotion – we attach great importance to the professional growth of our employees; this goal is supported by the training system and promotion opportunities – both within the stores (e.g. as we increase density of the network, by offering promotion as managers of the neighboring store) and in administration;
- competitive salary matching the employee’s competence and conditions on local labor markets.

The employees, their knowledge, experience and competences are one of the pillars of the Dino Group and determine its strength. We do our utmost for our place of work to be conducive not only to development of the Group but also to employee development, good employee relations and for it to support Dino Group employees and associates in contacts with our business partners and customers. We create dignified working conditions for all of the Group’s employees and associates and we provide a friendly atmosphere that fosters development.

Many of our stores are located in less urbanized areas. In that manner we enhance the opportunities the residents of a given region have to find an attractive and stable job on the basis of an employment contract close to their place of residence. In 2020 we created almost 5,000 new jobs.

At the foundation of HR policy is the straightforward organizational structure of both the Group as a whole and of its individual company members as well as the well-defined areas of responsibility of each department and employee in accordance with the accepted strategy of the Group. All members of Dino Polska and Dino Group staff act on the basis of precisely defined objectives, and the boundaries of their actions, in each of the four main areas: stores, warehouses, meat processing plant and head office, are defined by the fundamental HR procedures.

The distinguishing features of Dino Polska and the Dino Group's organizational culture are efficient execution of business processes, high productivity and resource efficiency and low level of bureaucracy. A key role in the process of HR management in Dino Polska is played by the HR Department, which operates in consultation with the heads of each business area within the Group who are responsible for backing the development of their subordinate staff, transferring knowledge, building a friendly atmosphere and ensuring safe working conditions. The principal framework of Dino Polska's employee policy rests on the Work Rules and Regulations and the Compensation Rules and Regulations. Additionally, the Company has implemented several documents related to its employee policy. These documents are made available to employees via the Company's Intranet or are provided to them in paper form along with the employment contract.

In 2020 Dino Polska conducted preparations to launch a periodic employee appraisal system not just to assess the competences of its employees but also to assess their professional development potential. This will poise us to provide more targeted support for employees' further development in Dino Polska and propose the best career path in line with our concept of internal recruitment. Thanks to this new solution employees will regularly receive accurate feedback concerning the quality of their work and will act as an important motivational factor.

At the end of 2020 Dino Polska had 24,142 employees, representing 4,901 more jobs than in the previous year. In 2020 Dino Polska employed 21,879 women and 2,263 men. In total, the number of employees climbed 25.5% in 2020 versus 2019.

Structure of employment in Dino Polska by gender at the end of 2020

	2020	2019	increase yoy
women	21,879	17,497	25.0%
men	2,263	1,744	29.8%
All employees	24,142	19,241	25.5%

Structure of employment in Dino Polska by gender and job level in 2020

	gender	number of employees	percentage of the total number of employees
blue-collar employees	female	16,365	67.8%
	male	1,607	6.7%
office employees	female	1,153	4.8%
	male	435	1.8%
lower level management	female	4,180	17.3%
	male	166	0.7%
medium and upper level management	female	180	0.7%
	male	53	0.2%
management board	female	1	0.00%
	male	2	0.01%

Structure of employment in the Dino Group by gender and job level at the end of 2020

	gender	number of employees	percentage of the total number of employees
blue-collar employees	female	17,013	65.8%
	male	2,471	9.6%
office employees	female	1,232	4.8%
	male	452	1.7%
lower level management	female	4,208	16.3%
	male	223	0.9%
medium and upper level management, management boards of companies	female	183	0.7%
	male	48	0.2%

The Dino Group's headcount at the end of 2020 was 25,840 and was higher by 5,216 than in 2019.

In the Dino Group we abide by the human rights set forth in the Universal Declaration of Human Rights. We do not tolerate any form of discrimination based on differences of gender, religion, mental and sexual orientation, any form of disability, political views or other convictions, nationality, education, professional experience, social background, assets, birth, age, marital status or based on any other differences. The Company does not accept any forms of employee discrimination. The Code of Conduct in force in the Company is the highest ranking document that governs all of the issues related to manifestations of any discrimination whatsoever. To undertake any possible remedial measures to counter discriminatory behavior the Company administers employee training.

By having a diverse team in terms of age, education, competences, gender and experience, among other aspects, Dino Polska secures diversity, creativity and dynamism while the combination of these factors makes it possible for Dino Polska and the Dino Group to grow rapidly, create and attractive and varied product offering, react quickly and adjust to the evolving requirements of customers and the market environment, establish and maintain good business relations and maintain a high level of customer service.

Structure of employment in Dino Polska, by age and job level at the end of 2020

	age	number of employees	percentage of the total number of employees
blue-collar employees	up to 30 years	6,129	25.4%
	31 to 50 years	9,067	37.5%
	over 50 years	2,776	11.5%
office employees	up to 30 years	917	3.8%
	31 to 50 years	612	2.5%
	over 50 years	59	0.2%
lower level management	up to 30 years	1,478	6.1%
	31 to 50 years	2,704	11.2%
	over 50 years	164	0.7%
medium and upper level management	up to 30 years	40	0.2%
	31 to 50 years	188	0.8%
	over 50 years	8	0.02%
management board	31 to 50 years in total	3	0.01%

The largest employee group in Dino Polska consists of employees aged 31 to 50 - they account for almost 50% of the total number of employees in Dino Polska. The second most numerous group in terms of age are persons up to 30; they account for more than 35% of all employees.

Structure of employment in Dino Group, by age and job level at the end of 2020

	age	number of employees	percentage of the total number of employees
blue-collar employees	up to 30 years	6,761	26.2%
	31 to 50 years	9,724	37.6%
	over 50 years	2,993	11.6%
office employees	up to 30 years	956	3.7%
	31 to 50 years	660	2.6%
	over 50 years	68	0.3%
lower level management	up to 30 years	1,503	5.8%
	31 to 50 years	2,761	10.7%
	over 50 years	167	0.6%
medium and upper level management, management boards of companies	up to 30 years	40	0.2%
	31 to 50 years	196	0.8%
	over 50 years	11	0.03%

The structure of employment in the Dino Group, by age and job level is nearly identical to Dino Polska. The most numerous group of employees consists of persons aged 31 to 50 representing 51.7% of the employees. The second most numerous group of employees in terms of age are persons up to 30; they account for 35.9% of the Dino Group staff.

A significant element of HR management in Dino Polska and the Dino Group is short and long-term planning which provides Dino Polska and the subsidiaries with a great deal of flexibility in internal recruitment and a strong capacity to source new staff. As part of the HR management process, Dino Polska has established a compensation committee and an employment planning committee, among others that operate regularly. Meetings are held at least once per month. In addition to a representative of the HR Department, are attended also by key managers. The effects of HR management and the policy in this area are evaluated on an annual basis by the Dino Polska Management Board.

The area “workplace” exerts an internal and an external influence: our initiatives and conduct in this area affect current and prospective employees. We manage the “Workplace” area through the operation and implementation of our employee and human resources procedures and policies.

Access to training and professional development

In the Dino Group we know how important continuous employee development and expanding their knowledge and competences are. We endeavor to ensure that all employees and associates, regardless of their type of contract, position held or any other differences have equal opportunities in professional development through access to the training system based on our internal resources. We endorse continuous employee development, we promote ambitious attitudes and we cultivate the skills of the people who make up the Dino Group to ensure that the Company’s development is carried out by people who are prepared to do that and are equipped with the requisite knowledge and skills.

Creating development opportunities is the essence of human resource policy in the store operation area. When we appoint managers of new stores, we usually select people who worked in another Dino store before that; hiring a person from outside the firm to take a store manager’s position requires special consent from the HR Department, which confirms our focus on internal promotions. Store managers and deputy store managers may be promoted further in the Company’s structures.

To create development opportunities for the Dino Group’s employees, the Company has two systems: internal promotion and switching departments. The programs are used to file applications for internal job offers (mainly at the Company’s head office) and allow employees to voice their interest in switching departments (mainly at the Company’s head office). These solutions mean that employees can actively - vertically and horizontally - direct their professional development and pursue their career path so that it is closely aligned to their expectations, knowledge and competences. Information on both programs is regularly communicated to employees by mass e-mails and published on the Intranet.

In the Dino Group we endorse good onboarding and preparation of new employees through on-the-job training, having in mind not only their efficiency and effectiveness from the first days on the job, but also to ensure that new employees operate and feel well in the new environment. We also attach great significance to updating and expanding the knowledge of our employees through participation in training, encouraging them to share knowledge with other employees and providing access to industry subscriptions and professional internet portals.

The training policy assumes that various actions and tools are used, in particular:

- on-the-job training, including among others the operation of specific devices or machines,
- education in a training room and multi-media training,
- e-learning,
- self-education based on procedures and manuals available on the Intranet,
- job rotation and participation in different types of projects,
- coaching focused on bolstering selected employee competences.

In 2020 Dino Polska delivered a total of 141,779 training hours, of which 60,288 hours of training in OSH and fire prevention, while the number of other training hours was equal to 81,491. The total number of training hours in 2020 dipped from 2019 due to the epidemic.

New employees also receive support from the Dino Group's trainers whose task is to prepare, train and oversee their work. Training sessions in the Group are run chiefly by experienced internal trainers. Dino Polska employees also participate in external training supporting their vertical career development.

The Company has in place an on-boarding system for new administrative employees. All new office employees take part in the training whose purpose is to familiarize them with the Company's organizational culture, internal procedures in force in the Dino Group and provide them with basic information regarding the Company. In this system, experienced workers are designated to take care of a new office worker during his or her first days at work. Each new administrative employee during onboarding goes through training on the clauses in our Code of Conduct.

Dino Stores are our principal business backbone. Nearly every area of the Group's operations is subordinated to stores and their efficient functioning: the head office, warehouses, the transport network and the meat processing plant. In order to ensure a good grasp of store operations and their significance in the context of how the entire Group operates, we employ a practice according to which new administrative employees participate in two-week internships at a Dino store before they commence work at their target job (data on the number of internship hours are not included in the above specified number of training hours.). They share responsibilities nearly equally with other store employees (except for tasks requiring familiarity with operating specialized machinery) and learn about the specific nature of a store's operations. This fosters the development of good relations between employees in different areas, increases quality and efficiency of mutual communication and has a positive effect on the origination and implementation of improvements in accordance with mutual needs.

We encourage employees to share their knowledge, competences and innovative ideas actively. Dino Polska has in place a program for submitting good ideas, as a result of which Company employees are able to propose solutions, streamline processes, procedures and the ways in which the company functions. Each of the submitted ideas is analyzed by the specially-appointed commission. Endorsed ideas are implemented and their authors are rewarded.

Principles of ethics

We are keen on employees being familiar with and respecting the values we in the Dino Group consider to be particularly important in the conduct of our business. We would like for our employees to behave in accordance with these values and adhere to them in their daily business practice. Moreover, we are also keen on every employee feeling well, free and safe in the workplace.

Every new employee and associate of the Dino Group participates in training courses (employees of the stores, meat processing plant and distribution centers) or is covered by the on-boarding system (administrative workers), which is partly devoted to the policies and procedures containing our ethical values and practices. These training sessions cover such issues as, among others, respecting human rights, prevention of discrimination, prevention of corruption and avoidance of situations that have the features of a conflict of interest.

The Code of Conduct is available to the Company's employees on the Intranet and on the www.grupadino.pl website. The remaining policies and procedures referring to our ethical values and practices in accordance with them are available on the Intranet.

Occupational safety and health

Providing conditions ensuring occupational safety and health to every employee and associate of the Group is our top priority as the employer. Activities in this respect are pursued in accordance with internal procedures, which regulate the OSH issues, separately for the area of stores, offices, distribution centers and the meat processing plant. The Dino Group has distinct OSH procedures and staff dedicated to stores, distribution centers and the meat processing plant.

Dino Polska has a dedicated department responsible for OSH, whose goal is to ensure safety of employees and associates, take preventive measures, monitor and register accidents at work and take corrective actions.

This section provides initial (for new employees) and periodic occupational safety and health (OSH) training (for employees with a longer tenure) covering all Group employees in accordance with legal regulations. In 2020, Dino Polska delivered a total of 60,288 hours of OSH training. In the entire Group, the number of OSH training hours in 2020 was 71,103.

Within the framework of OSH prevention activities, the Dino Group performs the following actions:

- we carry out regular checks of the safety condition and compliance with OSH procedures in the area of stores and distribution centers; remedies are introduced in lower scoring areas. In 2020, 736 OSH inspections in distribution centers and 2,937 inspections in stores were carried out daily.
- We conduct regular meetings on OSH for distribution center employees. 17 such meetings were held in 2020.
- In all logistics centers, we exercise OSH oversight on a daily basis through internal OSH inspectors,
- In the Company we have introduced a document entitled “Eco-driving – key principles of economic and safe driving”. This document also refers to maintaining safety in road traffic and targets employees who operate company cars. This document incorporates the principles of safe and environmentally-friendly driving. A separate Fleet Department implements and verifies these principles. It also operates the online system to monitor the behavior of its employees in road traffic on an ongoing basis. Where necessary, employees of the Fleet Department provide support and guidance on environmentally-friendly and safe driving to the employees using company cars.
- Protective clothing is provided to employees at selected positions in the Group,
- The Company has developed a scheme for handling crisis situations in the Company, which entails a hotline used to accept reports from employees on emergency situations, including reports related to OSH, food safety and quality.

In 2017-2019 we observed an accident rate that has remained steady at approximately 34. In 2020 we posted a decline in the accident rate to 25.23. The number of workplace accidents in 2020 in Dino Polska S.A. was 609 (mainly light accidents including in particular cuts).

In the Dino Group we have identified a list of occupational diseases to which our employees may be exposed. We include the following among these diseases: chronic diseases of the peripheral nervous system caused by the way the work is performed (i.e. carpal tunnel syndrome and cubital tunnel syndrome), to which office workers and those working at checkouts are particularly exposed, and diseases caused by high or low ambient temperatures (i.e. frostbite), to which freezer employees may be exposed. In 2020 no occupational diseases were reported.

Terms of employment

We take into account the competences, education and experience of candidates in internal and external recruiting. Dino Polska and its subsidiaries observe the principle of equal opportunities and of no discrimination whatsoever in the entire process of managing HR and at the stage of recruiting employees. In accordance with the Labor Code, Dino employees have the right to equal remuneration for the same work or for work of the same value, and equal rights for identical performance of the same duties, which applies, in particular, to equal treatment of women and men in employment. Exercising due diligence and caring for the employees’ knowledge of, and familiarity with, prevailing laws, the Company provides all new hires with a start kit (document delivered to the candidate upon making a decision on establishing cooperation) comprising a set of regulations regarding equal treatment in employment.

No formal diversity policy is in operation in the Company with respect to the managing and administering bodies. The Company does not have any influence over the composition of its corporate bodies. The Shareholder Meeting and the Supervisory Board elect the members of the Supervisory Board and the Management Board based on their competences and experience, notwithstanding their age, gender, education and other attributes. The very same rules are in force when making recruiting decisions: we focus on competences and experience. The

Company does its utmost to ensure that all employees have equal opportunities in terms of career development and promotions, regardless of any differences.

The vast majority of employees – both women and men are hired full-time. In exceptional situations, we agree to employment on a part-time basis or under a civil law agreement. At the end of 2020 we cooperated with 205 people on the basis of mandate contracts (civil law contracts).

Employment structure in Dino Polska by the percentage of an FTE at the end of 2020

	full time	part time	total
women	20,864	1,015	21,879
men	2,205	58	2,263
total	23,069	1,073	24,142

The Company adheres to and applies the provisions of the Labor Code. Dino Polska has in place, among others, Work Rules and Regulations and Compensation Rules and Regulations, which define the rules of distribution and time of work. Both documents are available to the Group's employees.

Staff hired by the Dino Group, depending on the type of duties they perform, may be subject to a primary, shift-based, task-based or balanced work system. Dino Polska also enables its personnel, especially store personnel, the majority of whom are women, to work on a part-time basis. This also applies to persons employed in warehouses and in the head office. A total of 1,073 Company employees benefited from this form of employment at the end of 2020.

The Dino Group facilitates the finding of a job and offers the necessary training to an extensive community of prospective employees: young persons and senior citizens and persons with a low level of education. Job offers in stores and warehouses are also given to people without professional experience. They are given the appropriate training and development opportunities.

For years the Dino Group has created conditions to hire disabled persons. At the end of 2020 Dino Polska had employees with a registered disability constituting 6.8% of total headcount.

The remuneration system in force in the Company offers a fixed salary and variable compensation stemming from the incentive system. The motivational portion takes the form of bonuses. Store employees earn financial bonuses, the amount of which is derived from the fulfillment of sales targets achieved by a specific store and the level of product spoilage.

A compensation committee is also held regularly in the company to review the level of compensation for various positions and examine applications to change the level of compensation for various positions.

All Dino Group employees are offered the same social and financial benefits regardless of the type of employment contract or working time. We offer the option to select life insurance and take out a loan within the framework of these benefits on terms that are more favorable than on the market.

At the end of 2020, there were two trade unions in Dino Polska whose membership totaled 155 employees.

No collective bargaining agreements operated in the Dino Group in 2020.

No group layoffs transpired in the Dino Group in 2020.

In Dino Polska we attach great importance to overall satisfaction and job satisfaction. We strive to monitor the employment-related situation on an ongoing basis and respond to any and all derogations. In 2020 the Company introduced a system to track the satisfaction of new hires. Measures to enhance work comfort and streamline the onboarding process for future employees are being implemented on that basis.

Social environment

We are perfectly well aware that the development of our organization leads to us having a greater impact on our social environment and the natural environment. For that reason, as we run our business we do our utmost to do this carefully and sensitively, while decisions are made in best faith at all levels of the organization, based on the knowledge we have while taking full accountability and observing all of the binding principles of ethics and social norms.

One of our main obligations is to ensure safety and the highest quality of our products, which has a direct influence on the health and quality of life of our customers and employees, who are often Dino store customers as well. Our commitment in this area can be discharged only through the participation of Dino employees who show care for safety and the highest quality of products offered in Dino in line with our policies and procedures.

Dino Polska has established the Dino Najbliżej Ciebie Foundation. The Foundation pursues its statutory social and charitable objectives, in particular by providing financial aid to the ill and poor adults and children.

The support we provide to social organizations and institutions and our efforts to minimize food wastage levels do not only affect the social environment and the natural environment, but also the level of engagement of our employees. In 2020 we donated a total of 32,976 kg of food to charitable and aid organizations. The “social environment” area is managed through the operation of procedures and policies in respect to food safety and quality and in respect to support provided to social entities and public institutions.

Product quality and safety

The products we are offering affect the health and the quality of life of our customers. This is why we attach great importance to ensuring the highest standards of safety and quality of the whole assortment of grocery and non-grocery products that we offer every day, at every stage of the selling process.

The Quality Development Department is responsible in Dino Polska for the safety standards and quality of our products. It enforces the observance of internal procedures and provisions of law and oversees the quality management system based on the Hazard Analysis and Critical Control Point (HACCP) System.

The rules and the method of handling food products are defined in the GHP/GMP (Good Hygiene Practice/Good Manufacturing Practices) Book, which contains detailed procedures describing the acceptance, storage and sale of foodstuffs, with the underlying goal of providing Dino customers with safe products of adequate quality. Our grocery product range is divided into 4 groups, for which different conditions of transport and storage are defined.

We devote special attention to our fresh product assortment. For every product from the fruit and vegetables offering, we have created a detailed description of features and quality requirements that must be met. Based on this catalog we order products, accept them from suppliers, train our staff and take care of quality on fruit and vegetable stalls in the stores. The Company’s Inspection Department has a specialized fruit and vegetables quality control team, whose members operate in each distribution center to ensure compliance with standards and the highest quality of fruit and vegetables supplied to Dino.

The quality of products is tested based on the following items:

- new supplier inspection and selection and regular inspections of current suppliers,
- inspection of merchandise by the quality control team upon acceptance in the distribution center,
- inspection of merchandise in the requisition completion process,
- inspection by store employees after the merchandise is accepted in the store,
- regular quality checks in the store.

In order to ensure correct operation of the procedures related to safety and quality of our products:

- the Group carries out training courses for the employees that have any contact with food at any stage of the process, i.e. storage, transport, storage in the store and sales;

- The Quality Development Department carries out inspections and audits of our suppliers and the Agro-Rydzyna meat processing plant with respect to safety and quality of products supplied to Dino.

Diversity of the offering and the impact exerted by products on consumer health

We constantly strive to satisfy the expectations and needs of our customers in terms of giving them access to a diverse product offering and access to various brands. In addition to a broad range of recognizable branded products, we also offer less recognizable products that are therefore a more economical alternative to the leading brands. We are gradually developing our offer by adding products for people with food intolerances (i.e. lactose-free and gluten-free products) or GMO-free products. In 2020 we started actively collaborating with the producers of selected categories of products offered in Dino stores to reduce their sugar content. The outcome in many of these cases has been that the product formulas have been modified to utilize healthier sugar substitutes.

Animal welfare is an important issue for us, therefore in 2019, we made a decision to withdraw eggs from caged hens from the Dino store network by no later than 2025. Until we fulfill this commitment, the egg offer in Dino stores will be increasingly based on, among others, eggs from free-range hens. We encourage our suppliers to pursue responsible animal husbandry, therefore in our Supplier's Code, which is an element of the new supplier agreements, we have incorporated information on responsible and lawful use of plant protection agents and on animal husbandry that ensures, at the same time, animal wellbeing.

Private label products represent more than 3.8% of sales revenue in our offer. As at the end of 2020, the private label catalogue included an offering spanning grocery, sanitary and cosmetic products. The Private Label Department and the Quality Development Department are responsible for developing our private label products; they care for the quality of product formulas, or recipes and for the nutritional values of the products. We are aware that we can affect consumer health through our product offering. This is why our departments continuously monitor the possibility of improving the recipes of our private label products. We are constantly striving to improve the recipes of our products. In 2020 we took actions in respect of 8 private label products to replace palm oil with sunflower oil.

Agro-Rydzyna, the meat processing plant in the Dino Group periodically reviews recipes to enhance the nutritional quality of the cold cuts products, inter alia, with an eye to the content of fat, salt, preservatives and other additives. Products with an improved recipe are then served to taste test panels and provided that they pass those tests, they become part of the regular offering in Dino stores. In 2020 the recipes of more than 20% of the meat products produced by Agro-Rydzyna and offered in Dino stores were improved in this way.

Rigorous parameters are defined in the specifications for the raw materials supplied to Agro-Rydzyna whereby the meat processing plant selects the raw materials with the appropriate content of fat, while the customers in Dino stores obtain fresh meat with the least possible fat content in that category.

To maintain high product quality Agro-Rydzyna chiefly uses natural casings to produce cold cuts instead of the artificial casings that are used on a widespread basis in the industry and that are edible and inedible.

To ensure healthy cold cuts, the meat processing plant's internal Quality Department works closely with suppliers of raw materials used by the plant. In addition, the slaughterhouses and the meat separation plants that supply raw materials to Agro-Rydzyna regularly hold quality audits to verify the suppliers' sanitary and hygiene procedures. Agro-Rydzyna products do not contain mechanically separated meat (MSM) and palm oil.

In 2020 there were no instances of non-compliance of our private label products with the safety and quality standards that resulted in any financial or non-financial penalties.

Product information

We do our best so that all the information that has an influence on the choices made by consumers is always provided truthfully, comprehensibly and unambiguously. We provide accurate information to customers about our products, their origin, ingredients, appearance and price. We observe the provisions of law. To ensure

compliance in this respect, we train employees, we give them support and assistance through regional managers and we conduct regular inspections whose purpose is to check the correctness of any and all information and correct it as necessary. The accuracy of our price labels is also supported by an internal procedure that streamlines the process of updating price labels.

We utilize advertising tools sparingly, by using our own communication channels only (that is, among others, Dino promotional newsletters, the Company's profile on social portals, newsletters for customers, our own billboards next to Dino stores). We do not give information that may confuse, mislead or offend our customers.

In 2020 there were no instances of non-compliance of our products, their packaging or marking with the law that resulted in any financial or non-financial penalties.

Support for social organizations, public institutions and preventing food wastage

We attach great importance to ensuring that the fresh products delivered to Dino stores are of the highest quality so that they can be stored longer after purchase by our customers. In our opinion, the highest quality of our products not only offers our customers satisfaction with their purchases, but also allows them to manage food wastage in their households, thereby directly contributing to offsetting food losses and mitigating food waste.

In order to maintain the highest quality of our fresh offering and at the same time prevent food wastage in our store and logistics operations, we undertake the following actions:

- in each Dino store, we service our fruit and vegetable stands at least three times a day. During this activity, we select and dispose only individual fruits or vegetables that do not comply with the food laws;
- our store order system has been designed in such a way to make it easier for our store managers to requisition products based on historical sales levels, which prevents excessive inventories and reduces the danger of surpluses and the resulting food losses;
- in the store operations area, we have developed an incentive bonus system with the product spoilage level as one of the criteria;
- a team has been established in the Inspection Department, which analyzes product spoilage and implements initiatives to reduce its level;
- we regularly discount products with short best-by or shelf life dates;
- due to vertical integration with the meat processing plant that is responsible for stocking all the Dino stores with meat and cold cuts, the Company is capable of managing very effectively the process of production and logistics to stores, thereby contributing to curtailing product spoilage. According to Dino Polska, vertical integration with the meat processing plant contributes to the relatively low level of overall product spoilage in the Dino store network.

We also strive to minimize food losses within our supply chain.

We donate to social partners all the food that meets the food law requirements and is fully fit for consumption, but is removed from the distribution process mainly because of packaging defects. Products with packaging defects (for example resulting from the distribution process) are provided to the Dino – Najbliżej Ciebie Foundation. The Foundation passes it on, in the form of a donation, to non-governmental organizations and institutions for social and charitable activities.

To the best of our ability, we respond to the needs of non-governmental organizations, public institutions, schools and kindergartens from all over Poland, to which we donate grocery and non-grocery products for the organization of events for local communities, in particular for children and youth and seniors.

Natural environment

Conserving and managing natural resources rationally are firmly entrenched in our organizational culture. The environmental policy we pursue embraces rational resource management. Our commitment is to take further

action and undertake additional initiatives to protect the environment through the rational use of natural resources and mitigation of our negative environmental impact.

Dino stores are opened based on a tested and standardized format, as a result of which we can pursue the efficient use of natural resources more effectively. The Environmental Protection Team operating in Dino Polska ensures compliance with the environmental law, monitors our impact on the natural environment and undertakes initiatives in this respect. In all areas of the Group's operations, we operate in accordance with internal procedures and regulations, which obligate and encourage employees to use water and electricity efficiently and use company devices in a rational manner.

We strive to limit the adverse environmental impact also in our supply chain and in cooperation with our suppliers, jointly looking for efficient solutions. These initiatives include among others:

- efficient management of the transportation network, in which trucks, after supplying the stores, on their return journey collect products from our suppliers and transport them to our Distribution Centers. Thanks to that, the number of empty journeys in our logistics decreases and our suppliers do not make separate journeys to our warehouses, which contributes to limitation of exhaust emissions through reduced fuel consumption;
- using a system of reusable packages for fruit and vegetables, thanks to which, together with our suppliers, we do not introduce waste in the form of disposable collective packages;
- testing alternative (more environment-friendly) power sources for trucks;
- cooperation with suppliers to replace the truck fleet with vehicles compliant with higher environmental requirements (most vehicles in our transportation network satisfy the EURO 6 standard); recommendation for transportation companies to use low-emission vehicles.

It is our goal to reduce gradually our adverse environmental impact: we are making our internal procedures more stringent. We monitor the evolving legal regulations on an ongoing basis and we observe them. We leverage the emerging opportunities and the methods for mitigating our adverse environmental impact. For that reason we are constantly learning and actively looking for new opportunities to utilize natural resources even more effectively. In these activities we are guided chiefly by the welfare of our customers and our local environment, as well as, above all, the welfare of the natural environment.

The Fleet Management Department also aims to promote environmentally-friendly attitudes on the road by reminding the users of company cars about always adjusting velocity to the appropriate conditions and driving slower and not leaving cars with their engines running when that is not necessary, as this directly leads to reducing exhaust emissions. In addition, the Fleet Management Department propagates a safe and environmentally-friendly driving style, and if there are any questions or doubts it helps employees who take advantage of our car fleet.

All of our initiatives and activities are taken in conformance with the legal regulations in force. The Company satisfies all environmental and social standards imposed by national law and it holds all the requisite environmental approvals and licenses required in its operations. We regularly monitor the operations of Dino Polska S.A. and the Dino Group to ensure that they are compliant with the law and internal procedures. The environmental audits conducted by independent entities to date show that the Company's operations do not pose a material threat to the environment. No incidents or environmental accidents have occurred in the Company's business to date. In 2020, Dino Group companies were not subject to any financial or non-financial fines for failing to observe or violating environmental regulations.

The "Natural Environment" area is managed by observing our procedures and policies related to environmental protection; these activities are within the purview of a separate Environmental Protection Team and are reviewed by a specified Management Board Member.

We analyze risks and opportunities associated with the Group's impact on the climate as well as the climate's impact on the Dino Group's business model we have selected. Dino Polska owns a grocery store network

operating in Poland with the primary business of distribution and sales of grocery and non-grocery products. In our opinion, climate-related risks and opportunities are not significant in the short term. We also assume that, in the short term and within the existing strategy of the Company, we will be able to mitigate the risks that are arising and use the opportunities. In our opinion, the impact of the Group's business model on the climate is not significant in the short term – the Group operates based on the applicable laws; it has not been subject to financial or non-financial penalties for non-compliance with environmental regulations and at the same time it introduces initiatives to gradually and regularly reduce the consumption of natural resources.

In the long term and with the intensification of climate change, the risks and opportunities may increase, which may require additional initiatives to be undertaken within the current business model, as well as changes in strategies and financial plans in various areas of the Company's and the Group's operations.

At the same time, judging by the standardization of the format of Dino stores and the initiatives taken to gradually and regularly reduce the consumption of natural resources (which is shown by the decreasing usage of electricity and water by the Group for every PLN 1 million of revenue), we can predict that the Group's impact on the climate will decrease relatively as it grows.

The Company continuously monitors its impact on the environment and analyzes data in order to take, on their basis, further strategic decisions in the area of environmental protection. The aim is also to publish pertinent data in annual activity reports.

Waste management and recycling.

Rational waste management is one of our greatest priorities in our activity. The Company's policy in this respect is pursued by a special Environmental Protection Team, which is responsible for appropriate and legal management of waste in all areas of the Company's activity.

All the waste produced by the Dino Group is collected by dedicated and specialized companies based holding the appropriate collection documents. The waste generated by Dino Polska mainly consists of communal waste, waste paper, plastics and side products of animal origin (in the Agro-Rydzyna meat processing plant).

The Dino Group takes the following actions that encourage good management of waste and recycling and minimization of the mass of produced waste:

- observing and promoting waste segregation procedures in all areas (offices, stores, warehouses, meat processing plant),
- recycling all the return packaging made of plastic foil, waste paper and glass in the entire Group. In 2020 we increased the quantum of waste paper and plastics that undergo recycling processes: that year 1,300 collections of waste paper were made and 191 collections of plastics,
- reusing selected return packaging in the order assembly process,
- reducing the quantum of mixed communal waste by introducing the selective collection of waste in more and more stores,
- bailing waste in stores to reduce the space occupied by waste (reducing the volume of waste to limit the space used),
- pressing waste in warehouses,
- using reusable packaging in the distribution of products (subject to adequate disinfection) by the Agro Rydzyna meat processing plant, which prevents the creation of non-reusable plastic waste in each delivery,
- cooperating with suppliers to use a system of reusable packages for fruit and vegetables, whereby we do not discard waste in the form of disposable bulk packaging; promoting in all areas of the Group the minimization of printed matter, the use of automatic double-sided printing of documents and encouraging employees to use pages that are not fully covered with print; encouraging employees to reuse and recover reusable materials (e.g. plastic sleeves, folders, etc.),

- we equipped social areas at the Dino Polska S.A. corporate headquarters with tap water filters, as a result of which our employees do not have to purchase bottled water, which may minimize plastic waste,
- our Dino promotional newsletter is printed on paper with FSC and Ecolabel certificates, which guarantee that the paper used for printing is sourced and processed in a sustainable manner,
- in each Dino store, customers can dispose of spent batteries, which are then passed on to the Dino – Najbliżej Ciebie Foundation. Revenues from sales of spent batteries are used for the Foundation's statutory objectives,
- waste produced in the Agro-Rydzyna meat processing plant is handed over on the basis of "Waste Handover Sheets" to be neutralized or recovered to specialized businesses holding permits from the competent authorities to take receipt thereof.
- in 2020 we launched a program to reduce the materials used in packaging for private label products. At present, we are working on replacing thick foil with thinner foil and on analyzing the filling of packages. We are also working on an analysis of filling bulk packaging and pallets in such a way so as to minimize the quantum of logistics operations performed.

Agro-Rydzyna applies the following measures to prevent the production of waste or limit the quantity of waste and its adverse environmental impact:

- transport of products in reusable containers,
- employee training on rational waste management,
- optimization of the consumption of raw materials during the technological process,
- handover of the largest quantities and types of waste for recovery,
- maintenance of the machine fleet and means of transport in a state of good repair,
- continuous modernization of the equipment and installation infrastructure – machinery and equipment.
- In 2020, Dino Polska S.A. did not produce or transport hazardous waste.

Water consumption and production of wastewater

In the face of climate change the Dino Group propagates effective water consumption among its employees. The consumption we monitor has held steady at a fixed level. We are in the process of implementing technical capabilities to manage water use more sparingly.

In terms of the management of liquid waste, or wastewater, the safest thing to do from the vantage point of environmental protection is to pump it to a central sewage system and treat it collectively in a waste treatment plant where more effective processes can be carried out. When it comes to runoff we utilize systems to remove precipitation from sealed surfaces, which makes it possible to retain water resources in an optimum fashion.

Emission of harmful emissions to the environment

The Dino Group takes multiple initiatives to reduce the emissions of greenhouse gases in all three scopes. One of the key investments in this scope is the commencement of the project to install photovoltaic panels on the rooftops of Dino stores and the continuous modernization of the fleet of passenger cars and trucks.

Direct greenhouse gas emissions (scope 1)

At the end of 2020 the Company had a fleet of 638 vehicles: 593 passenger cars and 45 trucks. Dino Polska's car fleet consists mainly of passenger vehicles and light trucks powered by diesel and unleaded fuel.

Dino Polska uses a passenger car fleet management system making it possible to track and manage its environmental impact on a continual basis. The reports generated make it possible to calculate fuel consumption and monitor vehicle mileage. Thanks to these solutions the Fleet Management Department can respond on an ongoing basis in situations that require a reaction and it has a real impact on the level of the emissions of greenhouse gases. In addition, the company also has a policy of using company vehicles that obliges drivers to drive economically and safely.

The Dino Polska Group manages the entire logistics process using its own distribution centers in Krotoszyn, Jastrowie, Rzeszotary, Wolborz and Łobez to stores throughout Poland. In conjunction with the Dino store network roll-out the Group is steadily investing in new distribution centers thereby contributing to shortening the logistics routes, enhancing the effectiveness of the overall transportation system, reducing fuel consumption and thereby reducing the quantity of harmful substances emitted into the atmosphere.

Indirect greenhouse gas emissions (scope 2)

Use of renewable energy sources.

In 2019, we started a capital expenditure project, under which, in the first phase only, we installed photovoltaic systems on the rooftops of 400 stores across Poland by early 2021.

After successfully completing the first stage of installing photovoltaic panels on the roofs of 400 Dino stores across Poland, the company has decided to extend its investments in renewable energy sources. On 18 February 2021 Dino Polska entered into a contract to install photovoltaic installations in three of the company's distribution centers with a total capacity of 3MW to curtail significantly the demand for electricity from conventional sources of energy and reduce the quantum of harmful substances emitted into the atmosphere by approximately 2.2 thousand tons of CO₂ equivalent per annum.

In the next 12 months the company will also carry out more investments spanning the installation of photovoltaic installations on the roofs of another 400 Dino stores across Poland. The capacity of the installed panels will be approximately 16 MW, which will make it possible to save approximately 12 thousand tons of CO₂ equivalent per annum.

Reduction of demand for electricity.

In 2020 we continued to work on initiatives to reduce our demand for electricity.

In 2020 we continued a capital expenditure project of replacing sodium lights on the parking lots adjacent to the existing Dino stores with LED lighting, which use 75% less electricity. The parking lots adjacent to the new stores in the Dino network are equipped with energy-efficient LED lighting.

All our distribution centers are equipped with LED lights with an integrated DALI lighting management system. This solution makes it possible to control individually the intensity of lighting from the LED fixtures in the system. The system has the capacity to adjust the intensity of the lighting from the fixtures to external lighting conditions, i.e. to maintain a constant intensity of lighting within the sensor's field of vision. The second function is turning on lighting after the presence sensor detects movement. That has made it possible to manage nearly automatically the demand for energy needed to light our warehouses, while that provides for a significant reduction in energy consumption and enhanced comfort in the use of lighting.

In 2020, Dino Polska S.A. used 159,7 GWh of electricity from both conventional and renewable energy sources, which entailed emission of around 113 thousand tons of scope 2 CO₂ equivalent. In 2020, Dino Polska produced 2.85 GWh of electricity from renewable sources versus 0.08 GWh in 2019.

Total consumption of energy in Dino Polska and Dino Polska Group and total energy produced by Dino Polska Group from renewable sources

MWh	2020	2019	change
Dino Polska (consumption in MWh)	159,672	145,877	9.5%
<i>electricity consumption per PLN 1 million of revenue</i>	<i>15,8</i>	<i>19,1</i>	<i>-17.5%</i>
Dino Group (consumption in MWh)	185,513	166,161	11.6%
<i>electricity consumption per PLN 1 million of revenue</i>	<i>18,3</i>	<i>21,7</i>	<i>-15.7%</i>
Total energy produced from renewable sources	2,847	84	3,283%

Indirect greenhouse gas emissions (scope 3)

The Dino Group has a number of initiatives aimed at reducing scope 3 greenhouse gas emissions.

We do our utmost, while preserving the highest quality and competitive prices, to ensure that the fruit and vegetables offered by us are sold in bulk, to avoid the use of any additional plastic packaging.

Since our stores are located near the customers' place of residence, they are also near the place of residence of our employees. This means that their commuting to work in our stores contributes only moderately to the emission of harmful substances to the environment. We encourage our administrative employees to adopt environmentally-friendly conduct. We have introduced a DinoCar platform in the Company's head office, which makes it easy for employees to arrange shared rides to and from work at the Company's head office. This way the employees can contribute to the reduction of harmful emissions to the environment during their daily commute to work.

Our employees fly in their business trips very rarely, with merely a few such trips a year. Most business trips are taken by car within Europe.

Business Relations

The basis of our business relations is rooted above all on reciprocal trust and respect. These two values are crucial to us, in the context of our internal and external relations. We operate in an honest and transparent fashion. In any and all of our activities the overarching requirement is to adhere in full to the law and the generally accepted norms and social standards. Our business and its distinct nature exert an impact on the business environment in which we function. We want to serve as an example as a Company that employs best practices in its daily activities. At the same time, we want to learn constantly, improve current solutions, integrate the best market practices in our context and incorporate them into our conduct. We also accurately report to our local community on our business activity.

The "Business Relations" area affects people inside as well outside of the organization. The "Business Relations" area is managed by observing our procedures and policies associated with cooperation with suppliers, partners, business partners, shareholders and investors.

Sourcing products from domestic suppliers

Our procurement policy supports the objective of providing Dino customers with safe products of the highest quality and at attractive prices. Implementation of the strategy in this respect is the responsibility of the Procurement Department Director, who is one of the key managers in the Company.

In addition to products under recognizable brands and fresh products, we are also offering Dino customers products under lesser-known brands that are cheaper alternatives, as well as private label products. We are happy to cooperate with smaller, local suppliers.

Business ethics

We attach great importance to the observance of ethical values and principles within the operation of the Dino Group. We also want to promote these values in our supply chain. That is why we have introduced the Dino Polska S.A. Code of Conduct for Suppliers, which is a part of all of our commercial contracts with suppliers.

Provisions of the Supplier's Code are based on the ethical values that we subscribe to in the following areas:

- caring about creating a good place of work for the Dino Group's employees and associates,
- building business relations based on honesty and trust, and
- mindfulness of, and sensitivity to, our social surroundings and natural environment.

The Dino Polska S.A. Supplier's Code refers among others to matters such as: human rights, prevention of discrimination, prevention of child labor, prevention of forced labor, providing employees with decent work conditions and compliance with OSH rules, providing employees with decent accommodation conditions (if provided by suppliers), compliance with minimum wage and work time regulations, prevention of conflicts of interest and corruption, efficient management of natural resources, mitigation of adverse environmental impact and others. The Code is addressed to all our suppliers of grocery and non-grocery products.

7.6. Risks

Demanding situation on the labor market may adversely affect the Dino Group's business

The Dino Group operates in a sector characterized by relatively high employee turnover. In the face of the declining level of unemployment in Poland, which is accompanied by a high level of competition for store employees between entities operating in the retail trade sector, the Group may not be able to secure new employees having sufficient experience and qualifications. This may also lead to additional pressure on higher costs of compensation.

The occurrence of the aforementioned circumstances may have an adverse impact on the quality of client service and Dino Group's business. The Dino Group strives to counteract such a risk chiefly by constantly monitoring the labor market situation and analyzing its competitiveness in this area. The HR department and the departments responsible for training and development are being strengthened, inter alia by hiring additional employees.

Loss of the Dino Polska Group's key employees or the inability to hire a sufficient number of qualified employees may exert an adverse impact on the Dino Polska Group's operations and its development in the future

One of the key factors driving the Dino Polska Group's business development in the future, especially its ongoing growth, geographic expansion and the execution of its strategy is having the appropriate number of qualified and committed employees. Many people acting in managerial functions in the Dino Polska Group have many years of work experience in the Dino Polska Group and in the retail grocery market. There is a risk that in connection with its development the Dino Polska Group will not manage to retain key employees, source key personnel to fill vacancies or staff newly-created positions with employees holding the appropriate qualifications and experience and may be compelled to incur considerable costs to hire and train them. Moreover, the Dino Polska Group cannot rule out that its competitors or other entities operating on the retail grocery market will offer prospective employees better conditions of employment. Staff shortages and the loss of key employees may unfavorably affect the Dino Polska Group's further business development.

The occurrence of one or several of the above risk factors may have a material adverse effect on the activities, financial standing and results of Dino Polska and the Dino Polska Group.

Risk of claims being lodged against the Dino Group on account of work accidents

The occurrence of work accidents, including fatal accidents may put the Dino Group in jeopardy of claims from employees or other eligible parties, which may exert an adverse impact on its capacity to source new employees, activities, financial standing, results or prospects.

The production of fresh meat and processed meat products coming from a single supplier may be disrupted

Agro-Rydzyna produces products from fresh meat while Dino Polska sells food products and accordingly they are subject to many regulations pertaining to health protection and sanitary regulations that are applicable to the production of food. Giving consideration to the complexity of the food production process, there is a risk that Agro-Rydzyna in particular may fail to meet all the sanitary requirements and procedures, including the ones pertaining to health and safety, and also monitoring and conducting laboratory analyses of the quality of raw materials and finished products. If the meat processing plant run by Agro-Rydzyna fails to meet the qualitative

requirements and the ones pertaining to health protection and the sanitary requirements ensuing from the relative regulations, the production of goods using fresh meat may be curtailed or even interrupted.

The occurrence of the aforementioned circumstances may have an adverse impact on Dino Polska's brand and reputation, and as a consequence, on the Company's financial standing, results or prospects and share price. The Group counteracts this risk by diligently selecting the suppliers of raw materials and products and by monitoring adherence to compliance with internal systems pertaining to the safety and quality of food (including HACCP) and the regulations of nutrition law.

Client complaints, product liability claims, procedures for retracting products from sale, OSH issues, negative advertisement, litigation or other factors may lead to a decline in the value of the Dino brand

The Dino Group's success is partially dependent on brand recognition and the company's value related to it, while Dino's brand and trademarks constitute key assets in the Dino Group's operations. Preparing, packing, transporting, storing and selling perishables and products other than groceries carry the risk of product contamination or poisoning, quality deterioration or defects that may potentially lead to retracting products from sale, claims for damages or negative advertisement, and may also entail costs ensuing from the foregoing events. Food and non-food products may contain substances that in certain cases may induce disease, bodily injury or death. The sale (or allegations concerning an alleged sale) of contaminated products, of lower quality or defective products may lead to product liability claims or the retraction of products from sale. The risk of product liability claims or obligations to retract a product from sale are particularly material in the context of the sales conducted by the Dino Group of fresh food products.

All client complaints, product liability claims, cases of retracting products from sale, OSH issues, negative advertisement, litigation or other factors reducing the value of the Dino brand may lead to damage to its reputation and unfavorably affect the Dino Group's activities, financial standing and results.

In addition, the Dino Group, as a producer of food, is obligated to adhere to specific requirements ensuing from prevailing regulations, while its activities and the products it produces are subject to supervision and inspection by many public supervision authorities, in particular, in terms of adhering to the rules pertaining to the procedures for producing food to ensure that food products are safe for consumers.

The occurrence of any of the above risk factors may have a material adverse effect on the Dino Group's reputation, activities, financial standing and results. The Dino Group counteracts the foregoing risks by diligently selecting the suppliers of raw materials and products and by monitoring adherence to compliance with internal systems pertaining to the safety and quality of food (including HACCP) and the regulations of nutrition law.

Changes to legal regulations, among others, pertaining to the production of food, fire protection and safety, employment law and environmental protection regulations and insufficient efforts in these areas may adversely affect the Dino Group.

The activities of the Dino Polska Group are subject to various regulations in Poland (among others in respect to food production, fire and safety regulations, provisions of labor law and environmental law) These regulations exert a significant influence on the activities of the Dino Polska Group. If the Dino Polska Group does not operate in compliance with these requirements, it may be liable to pay penalties, fees or damages as provided for by the relevant legislation and may even be required to suspend part of its operations. In addition, actions are increasingly more frequently expected to be taken by entities conducting business in the foregoing areas transcending legal requirements.

Since there is no clarity as to future regulations, in the future the Dino Polska Group may be obligated to incur significant costs or capital expenditures to adapt the existing installations of the stores, distribution centers or the meat processing plant operated by Agro-Rydzyna to meet the new requirements or social expectations. Otherwise, it may be the subject of more rigorous inspections leading to financial penalties, its brand may be in jeopardy, which may adversely affect the Dino Polska Group's activities, financial standing, growth prospects

and results. The Dino Polska Group prevents these risks by submitting to internal procedures and legal regulations and by monitoring its environmental impact and by pursuing environmentally-friendly projects.

7.7. Final information

Dino Polska's Corporate Social Responsibility Reports are prepared on the annual basis.

Dino Polska's Corporate Social Responsibility Report satisfies the requirements of the representation on non-financial information in accordance with the Accounting Act of 29 September 1994. The most recent representation on non-financial information was published on 13 March 2020.

8. REPRESENTATIONS OF THE DINO POLSKA MANAGEMENT BOARD AND SUPERVISORY BOARD

Representation of the Dino Polska Management Board on selecting an audit firm and on the selection procedure

Based on the representation of the Supervisory Board, the Management Board of Dino Polska S.A. hereby reports that:

- the audit firm auditing the Financial Statements of Dino Polska for the year ended 31 December 2020 and the Consolidated Financial Statements of the Dino Polska S.A. Group for the year ended 31 December 2020 was selected in accordance with the legal regulations, including those related to the selection and selection procedure of an audit firm,
- the audit firm and members of the audit team met the conditions for drafting an impartial and independent audit report of the annual financial statements pursuant to effective provisions of law, professional standards and professional ethics principles,
- Dino Polska S.A. complies with the applicable regulations related to rotating the audit company and key statutory auditor and mandatory cooling off periods,
- Dino Polska S.A. has a policy concerning audit company selection and provision of additional non-audit services to the issuer by the audit company, an affiliate of the audit company or a member of its network, including services conditionally exempted from the prohibition of being provided by an audit company.

Izabela Biadała

Michał Krauze

Michał Muskała

Management Board Member

Management Board Member

Management Board Member

**Statement of the Dino Polska Supervisory Board
on the functioning of the Audit Committee**

The Supervisory Board of Dino Polska S.A. ("Company"), acting pursuant to § 70 Section 1 Item 8 and § 71 Section 1 Item 8 of the Finance Minister's Regulation of 29 March 2018 on the Current and Periodic Information Transmitted by Securities Issuers and the Conditions for Recognizing the Information Required by the Regulations of a Non-Member State as Equivalent (Journal of Laws of 2018, Item 757) in connection with Article 60 Section 2 of the Act of 29 July 2005 on Public Offering and the Terms and Conditions for Introducing Financial Instruments to an Organized Trading System and on Public Companies (Journal of Laws of 2016, Item 1639, as amended), hereby represents that:

- Dino Polska S.A. and its statutory bodies observe the provisions on establishing, composition and dealings of the audit committee, including the fulfilment of independence criteria by its members and requirements concerning knowledge and skills related to the industry in which the issuer operates, as well as to accounting or auditing of financial statements,
- the audit committee performed and performs the tasks of the audit committee prescribed by the applicable laws.

Tomasz Biernacki

Eryk Bajer

Sławomir Jakszuk

Supervisory Board Chairman

Supervisory Board member

Supervisory Board member

Piotr Nowjalis

Maciej Polanowski

Supervisory Board member

Supervisory Board member

Evaluation of the Dino Polska Supervisory Board concerning the financial statements and the activity report in terms of compliance with the ledgers, documents and the facts

The Supervisory Board of Dino Polska, acting pursuant to art. 382 § 3 of the Commercial Company Code, § 17 Section 1 Item 2 of the Company's Articles of Association and in conjunction with § 70 Section 1 Item 14 and § 71 Section 1 Item 12 of the Finance Minister's Regulation of 29 March 2018 on the Current and Periodic Information Transmitted by Securities Issuers and the Conditions for Recognizing the Information Required by the Regulations of a Non-Member State as Equivalent, after familiarizing itself with the data and information forming part of the Financial Statements and the Consolidated Financial Statements of Dino Polska S.A. for the year ended 31 December 2020 and the Management Board Report on the Activity of the Company and the Dino Polska S.A. Group in 2020 states that they are compliant with the ledgers, documents and the facts.

The Supervisory Board performed its assessment in particular based on: i) information provided to the Company's Audit Committee by the audit firm, Ernst & Young Audyt Polska sp. z o.o. sp. k. auditing the financial statements, ii) information and data provided to the Supervisory Board by the Company's Management Board, iii) information provided to the Supervisory Board by the Audit Committee following the performance of tasks prescribed by the law and by internal regulations by the Audit Committee. The Supervisory Board decided that the correctness of preparation of the financial statements and the management board activity report for 2020 raises no objections.

Tomasz Biernacki

Eryk Bajer

Sławomir Jakszuk

Supervisory Board Chairman

Supervisory Board member

Supervisory Board member

Piotr Nowjalis

Maciej Polanowski

Supervisory Board member

Supervisory Board member

Representation of the Dino Polska Management Board on accuracy and compliance of the financial statements with the law

According to its best knowledge, the Dino Polska S.A. Management Board (“Company”) represents that:

- The Financial Statements of Dino Polska S.A. for the year ended 31 December 2020 and the comparable data have been prepared in accordance with the binding accounting principles and honestly, fairly and clearly reflect the assets and financial standing of Dino Polska S.A. and its financial result,
- The Consolidated Financial Statements of the Dino Polska S.A. Group for the year ended 31 December 2020 have been prepared in accordance with the binding accounting principles and honestly, fairly and clearly reflect the assets and financial standing of the Dino Polska S.A. Group and its financial result,
- The Management Board’s Report on the Activity of the Company and the Dino Polska S.A. Group in 2020 contains a true picture of the development, accomplishments and standing of the Company and the Group, including the description of the fundamental threats and risks.

Izabela Biadała

Michał Krauze

Michał Muskała

Management Board Member

Management Board Member

Management Board Member